

**SUBSTITUTE FOR
SENATE BILL NO. 870**

A bill to make appropriations for the department of labor and economic opportunity for the fiscal year ending September 30, 2027; and to provide for the expenditure of the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS

Sec. 101. There is appropriated for the department of labor and economic opportunity for the fiscal year ending September 30, 2027, from the following funds:

DEPARTMENT OF LABOR AND ECONOMIC OPPORTUNITY

APPROPRIATION SUMMARY

Full-time equated unclassified positions	34.5
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Full-time equated classified positions	2,606.0
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1	GROSS APPROPRIATION		\$ 1,667,344,800
2	Interdepartmental grant revenues:		
3	Total interdepartmental grants and		
4	intradepartmental transfers		0
5	ADJUSTED GROSS APPROPRIATIONS		\$ 1,667,344,800
6	Federal revenues:		
7	Total federal revenues		1,190,870,600
8	Special revenue funds:		
9	Total local revenues		10,700,000
10	Total private revenues		12,597,200
11	Total other state restricted revenues		237,782,100
12	State general fund/general purpose		\$ 215,394,900
13	Sec. 102. DEPARTMENTAL ADMINISTRATION AND		
14	SUPPORT		
15	Full-time equated unclassified positions	34.5	
16	Full-time equated classified positions	75.0	
17	Unclassified salaries--FTEs	34.5	\$ 5,015,500
18	Executive direction and operations--FTEs	75.0	10,975,600
19	Property management		7,458,000
20	GROSS APPROPRIATION		\$ 23,449,100
21	Appropriated from:		
22	Federal revenues:		
23	DED, vocational rehabilitation and independent		
24	living		3,654,500
25	DOL, federal funds		3,272,900
26	DOL-ETA, unemployment insurance		2,705,800
27	DOL, occupational safety and health		586,700
28	Federal funds		2,584,700



1	Special revenue funds:		
2	Asbestos abatement fund		52,800
3	Corporation fees		2,277,900
4	Michigan state housing development authority		
5	fees and charges		681,200
6	Private occupational school license fees		56,200
7	Radiological health fees		299,600
8	Safety education and training fund		1,100,000
9	Second injury fund		281,000
10	Securities fees		2,256,200
11	Self-insurers security fund		152,700
12	Silicosis and dust disease fund		116,100
13	Worker's compensation administrative revolving		
14	fund		93,700
15	State general fund/general purpose	\$	3,277,100
16	Sec. 103. WORKFORCE DEVELOPMENT		
17	Full-time equated classified positions	239.0	
18	23+ high school diploma program	\$	2,000,000
19	At-risk youth grants		5,184,500
20	Community and worker economic transition		
21	office--FTEs	10.0	2,252,600
22	High school equivalency-to-school program		250,000
23	Michigan office of rural prosperity--FTE	1.0	2,302,100
24	MiSTEM advisory council--FTEs	3.0	674,600
25	Office of future mobility and electrification--		
26	FTEs	5.0	1,500,000
27	Workforce development--FTEs	220.0	450,078,800
28	GROSS APPROPRIATION	\$	464,242,600



1	Appropriated from:		
2	Federal revenues:		
3	DAG, employment and training		4,560,400
4	DED-OESE, GEAR-UP		5,500,000
5	DED-OVAE, adult education		20,000,000
6	DED-OVAE, basic grants to states		19,000,000
7	DOL-ETA, workforce investment act		173,488,600
8	DOL, federal funds		106,329,800
9	Federal funds		23,225,100
10	Social security act, temporary assistance to		
11	needy families		63,698,800
12	Special revenue funds:		
13	Local revenues		300,000
14	Private funds		5,001,300
15	Contingent fund, penalty and interest		5,017,500
16	Defaulted loan collection		168,600
17	HR-1 costs fund		15,000,000
18	State general fund/general purpose	\$	22,952,500
19	Sec. 104. REHABILITATION SERVICES		
20	Full-time equated classified positions	669.0	
21	Bureau of services for blind persons--FTEs	116.0	\$ 30,597,200
22	Centers for independent living		18,718,600
23	Michigan rehabilitation services--FTEs	553.0	155,220,500
24	Subregional libraries state aid		451,800
25	GROSS APPROPRIATION	\$	204,988,100
26	Appropriated from:		
27	Federal revenues:		
28	Federal funds		884,000



1	DED, vocational rehabilitation and independent		
2	living		147,733,800
3	Supplemental security income		8,588,600
4	Special revenue funds:		
5	Local - blind services		100,000
6	Local - vocational rehabilitation match		5,300,000
7	Private - blind services, private		111,800
8	Private - gifts, bequests, and donations		531,500
9	Michigan business enterprise program fund		350,000
10	Rehabilitation service fees		116,200
11	State general fund/general purpose	\$	41,272,200
12	Sec. 105. EMPLOYMENT SERVICES		
13	Full-time equated classified positions	405.0	
14	Bureau of employment relations--FTEs	22.0	\$ 4,718,200
15	Compensation supplement fund		820,000
16	First responder presumed coverage claims		6,500,000
17	Insurance funds administration--FTEs	21.0	4,525,300
18	Michigan occupational safety and health		
19	administration--FTEs	217.0	41,384,700
20	Office of global Michigan--FTEs	15.0	42,980,700
21	Private and occupational distance learning--		
22	FTEs	3.0	989,700
23	Radiation safety section--FTEs	26.0	4,206,100
24	Wage and hour program--FTEs	33.0	4,781,500
25	Worker's compensation board of magistrates--		
26	FTEs	10.0	2,341,500
27	Worker's disability compensation agency--FTEs	56.0	10,255,300



1	Worker's disability compensation appeals		
2	commission--FTEs	2.0	363,700
3	GROSS APPROPRIATION	\$	123,866,700
4	Appropriated from:		
5	Federal revenues:		
6	DOL, occupational safety and health		16,746,800
7	HHS, mammography quality standards		513,300
8	HHS, refugee assistance program fund		38,419,100
9	Special revenue funds:		
10	Asbestos abatement fund		888,800
11	Corporation fees		12,593,300
12	Distance education fund		486,400
13	First responder presumed coverage fund		6,500,000
14	Private occupational school license fees		503,300
15	Radiological health fees		3,692,800
16	Safety education and training fund		13,578,700
17	Second injury fund		2,511,400
18	Securities fees		11,400,800
19	Self-insurers security fund		1,448,700
20	Silicosis and dust disease fund		565,200
21	Worker's compensation administrative revolving		
22	fund		3,400,400
23	State general fund/general purpose	\$	10,617,700
24	Sec. 106. UNEMPLOYMENT INSURANCE AGENCY		
25	Full-time equated classified positions	738.0	
26	Unemployment insurance agency--FTEs	720.0	\$ 294,287,000
27	Unemployment insurance agency - advocacy		
28	assistance--FTEs	4.0	1,500,000



1	Unemployment insurance appeals commission--FTEs	14.0		4,430,600
2	GROSS APPROPRIATION		\$	300,217,600
3	Appropriated from:			
4	Federal revenues:			
5	DOL-ETA, unemployment insurance			280,270,300
6	Special revenue funds:			
7	Contingent fund, penalty and interest			19,947,300
8	State general fund/general purpose		\$	0
9	Sec. 107. COMMISSIONS			
10	Full-time equated classified positions	23.0		
11	Asian Pacific American affairs commission--FTE	1.0	\$	225,900
12	Commission on Middle Eastern American affairs--			
13	FTE	1.0		216,700
14	Hispanic/Latino commission of Michigan--FTE	1.0		300,000
15	Michigan community service commission--FTEs	14.0		19,620,800
16	Michigan women's commission--FTEs	3.0		1,548,900
17	Prosperity bureau--FTEs	3.0		922,000
18	GROSS APPROPRIATION		\$	22,834,300
19	Appropriated from:			
20	Federal revenues:			
21	Federal funds			18,184,400
22	Special revenue funds:			
23	Private funds			1,552,600
24	State general fund/general purpose		\$	3,097,300
25	Sec. 108. INFORMATION TECHNOLOGY			
26	Information technology services and projects		\$	31,082,100
27	GROSS APPROPRIATION		\$	31,082,100
28	Appropriated from:			



1	Federal revenues:		
2	DED, vocational rehabilitation and independent		
3	living		3,371,400
4	DOL-ETA, unemployment insurance		23,003,200
5	DOL, occupational safety and health		372,300
6	Federal funds		592,800
7	Special revenue funds:		
8	Asbestos abatement fund		35,300
9	Corporation fees		517,500
10	Distance education fund		20,700
11	Private occupational school license fees		82,400
12	Radiological health fees		155,900
13	Safety education and training fund		403,300
14	Second injury fund		180,700
15	Securities fees		1,277,800
16	Self-insurers security fund		125,600
17	Silicosis and dust disease fund		45,000
18	State general fund/general purpose	\$	898,200
19	Sec. 109. MICHIGAN STRATEGIC FUND		
20	Full-time equated classified positions	130.0	
21	Arts and cultural program	\$	3,708,800
22	Job creation services--FTEs	130.0	36,193,700
23	Lighthouse preservation program		250,000
24	Michigan office of defense and aerospace		
25	innovation		3,000,000
26	Pure Michigan		10,000,000
27	GROSS APPROPRIATION	\$	53,152,500
28	Appropriated from:		



1	Federal revenues:		
2	Federal funds		3,000,000
3	NFAH-NEA, promotion of the arts, partnership		
4	agreement		1,050,000
5	State historic preservation, national park		
6	service grants		1,900,000
7	Special revenue funds:		
8	Local promotion fund		5,000,000
9	Private - Michigan council for the arts fund		200,000
10	Private - special project advances		200,000
11	Private promotion fund		5,000,000
12	Michigan lighthouse preservation fund		250,000
13	Michigan state housing development authority		
14	fees and charges		4,831,100
15	State brownfield redevelopment fund		10,007,700
16	State historic preservation office fees and		
17	charges		511,200
18	State general fund/general purpose	\$	21,202,500
19	Sec. 110. MICHIGAN STATE HOUSING DEVELOPMENT		
20	AUTHORITY		
21	Full-time equated classified positions	318.0	
22	Community development block grants	\$	47,000,000
23	Housing and rental assistance--FTEs	318.0	52,875,700
24	Michigan housing and community development		50,000,000
25	MSHDA technology services and projects		3,772,600
26	Payments on behalf of tenants		166,860,000
27	Property management		3,506,100
28	GROSS APPROPRIATION	\$	324,014,400



1	Appropriated from:		
2	Federal revenues:		
3	HUD, lower income housing assistance		166,860,000
4	HUD-CPD, community development block grant		49,773,300
5	Special revenue funds:		
6	Michigan housing and community development fund		50,000,000
7	Michigan state housing development authority		
8	fees and charges		57,381,100
9	State general fund/general purpose	\$	0
10	Sec. 111. STATE LAND BANK AUTHORITY		
11	Full-time equated classified positions	9.0	
12	State land bank authority--FTEs	9.0	\$ 6,429,900
13	GROSS APPROPRIATION	\$	6,429,900
14	Appropriated from:		
15	Federal revenues:		
16	Federal revenues		1,000,000
17	Special revenue funds:		
18	Land bank fast track fund		3,402,500
19	State general fund/general purpose	\$	2,027,400
20	Sec. 112. ONE-TIME APPROPRIATIONS		
21	Arts and cultural program	\$	10,000,000
22	Business attraction, community revitalization,		
23	entrepreneurial ecosystem		60,000,000
24	Community college skilled trades equipment		
25	program		3,017,500
26	Competitive community infrastructure grants		10,000,000
27	Facility for rare isotope beams		7,300,000
28	Michigan housing and community development		10,000,000



1	Museum support	1,500,000
2	Public radio	250,000
3	Special events and national convention	
4	attraction	6,000,000
5	Talent partnership	5,000,000
6	GROSS APPROPRIATION	\$ 113,067,500
7	Appropriated from:	
8	Contingent fund, penalty and interest account	3,017,500
9	State general fund/general purpose	\$ 110,050,000

PART 2

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2026-2027

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2027, total state spending under part 1 from state sources is \$453,177,000.00 and state spending under part 1 from state sources to be paid to local units of government is \$36,399,500.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

DEPARTMENT OF LABOR AND ECONOMIC OPPORTUNITY

23	Arts and cultural program	\$ 2,940,000
24	At-risk youth grants	5,184,500
25	Michigan rehabilitation services	275,000
26	Workforce development programs	28,000,000
27	TOTAL	\$ 36,399,500

Sec. 202. The appropriations under this part and part 1 are subject to the management and budget act, 1984 PA 431, MCL 18.1101



1 to 18.1594.

2 Sec. 203. As used in this part and part 1:

3 (a) "Department" means the department of labor and economic
4 opportunity and entities contained within its organization,
5 including, but not limited to, the fund.

6 (b) "Director" means the director of the department.

7 (c) "FTE" means full-time equated.

8 (d) "Fund", unless the context clearly implies a different
9 meaning, means the Michigan strategic fund.

10 (e) "MEDC" means the Michigan economic development
11 corporation, which is the public body corporate created under
12 section 28 of article VII of the state constitution of 1963 and the
13 urban cooperation act of 1967, 1967 (Ex Sess) PA 7, MCL 124.501 to
14 124.512, by contractual interlocal agreement effective April 5,
15 1999, between local participating economic development corporations
16 formed under the economic development corporations act, 1974 PA
17 338, MCL 125.1601 to 125.1636, and the fund.

18 (f) "MEGA" means the Michigan economic growth authority.

19 (g) "MiSTEM" means Michigan science, technology, engineering,
20 and mathematics.

21 (h) "MSHDA" means the Michigan state housing development
22 authority.

23 (i) "PATH" means Partnership. Accountability. Training. Hope.

24 (j) "Standard report recipients" means the senate and house
25 appropriations subcommittees on labor and economic opportunity, the
26 senate and house fiscal agencies, the senate and house policy
27 offices, and the state budget office.

28 (k) "STEM" means science, technology, engineering, and
29 mathematics.



1 (l) "USDOL" means the United States Department of Labor.

2 Sec. 204. The department shall use the internet to fulfill the
3 reporting requirements of this part and shall make each report
4 readily accessible to the public and conspicuously post each
5 required report in a single archivable location on the department's
6 or agency's Michigan.gov website not later than the due date
7 required for each report. In addition to placing all reports
8 required in the current fiscal year on the department's or agency's
9 website, the department or agency shall maintain on its website all
10 reports placed on the website from previous fiscal years posted by
11 fiscal year in the same single archivable location. The department
12 or agency shall also transmit all required reports for the current
13 fiscal year to the standard report recipients and any other
14 required recipients by email.

15 Sec. 205. To the extent permissible under section 261 of the
16 management and budget act, 1984 PA 431, MCL 18.1261, all of the
17 following apply to the expenditure of funds appropriated in part 1:

18 (a) The funds must not be used for the purchase of foreign
19 goods or services, or both, if competitively priced and of
20 comparable quality American goods or services, or both, are
21 available.

22 (b) Preference must be given to goods or services, or both,
23 manufactured or provided by Michigan businesses, if they are
24 competitively priced and of comparable quality.

25 (c) Preference must be given to goods or services, or both,
26 that are manufactured or provided by Michigan businesses owned and
27 operated by veterans, if they are competitively priced and of
28 comparable quality.

29 Sec. 206. The department shall not take disciplinary action



1 against an employee of the department for communicating with a
2 member of the legislature or legislative staff, unless the
3 communication is prohibited by law and the department is exercising
4 its authority as provided by law.

5 Sec. 207. Consistent with section 217 of the management and
6 budget act, 1984 PA 431, MCL 18.1217, the department shall prepare
7 a report on out-of-state travel expenses not later than January 1.
8 The report must list all travel outside this state by classified
9 and unclassified employees in the previous fiscal year that was
10 funded in whole or in part with funds appropriated in the
11 department's budget. The department shall submit the report to the
12 standard report recipients and to the senate and house of
13 representatives appropriations committees. The report must include
14 all of the following information:

15 (a) The dates of each travel occurrence.

16 (b) The total transportation and related expenses of each
17 travel occurrence and the proportions funded with state general
18 fund/general purpose revenues, state restricted revenues, federal
19 revenues, and other revenues.

20 Sec. 209. Not later than December 15, the state budget office
21 shall prepare and submit a report that provides estimates of the
22 total general fund/general purpose appropriation lapses at the
23 close of the previous fiscal year. The report must summarize the
24 projected year-end general fund/general purpose appropriation
25 lapses by major departmental program or program areas. The state
26 budget office shall submit the report to the standard report
27 recipients and the chairpersons of the senate and house of
28 representatives appropriations committees.

29 Sec. 210. (1) In addition to the funds appropriated in part 1,



1 there is appropriated an amount not to exceed \$30,000,000.00 for
2 federal contingency authorization. Amounts appropriated under this
3 subsection are not available for expenditure until they have been
4 transferred to another line item in part 1 under section 393(2) of
5 the management and budget act, 1984 PA 431, MCL 18.1393.

6 (2) In addition to the funds appropriated in part 1, there is
7 appropriated an amount not to exceed \$560,000,000.00 for state
8 restricted contingency authorization. Amounts appropriated under
9 this subsection are not available for expenditure until they have
10 been transferred to another line item in part 1 under section
11 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

12 (3) In addition to the funds appropriated in part 1, there is
13 appropriated an amount not to exceed \$2,000,000.00 for local
14 contingency authorization. Amounts appropriated under this
15 subsection are not available for expenditure until they have been
16 transferred to another line item in part 1 under section 393(2) of
17 the management and budget act, 1984 PA 431, MCL 18.1393.

18 (4) In addition to the funds appropriated in part 1, there is
19 appropriated an amount not to exceed \$11,000,000.00 for private
20 contingency authorization. Amounts appropriated under this
21 subsection are not available for expenditure until they have been
22 transferred to another line item in part 1 under section 393(2) of
23 the management and budget act, 1984 PA 431, MCL 18.1393.

24 Sec. 211. The department shall cooperate with the department
25 of technology, management, and budget to maintain a searchable
26 website accessible by the public at no cost that includes, but is
27 not limited to, all of the following for the department:

28 (a) Fiscal year-to-date expenditures by category.

29 (b) Fiscal year-to-date expenditures by appropriation unit.



1 (c) Fiscal year-to-date payments to a selected vendor,
2 including the vendor name, payment date, payment amount, and
3 payment description.

4 Sec. 212. Not later than 14 days after the release of the
5 executive budget recommendation, the department shall cooperate
6 with the state budget office to provide an annual report on
7 estimated state restricted fund balances, state restricted fund
8 projected revenues, and state restricted fund expenditures for the
9 previous 2 fiscal years. The report must be submitted to the
10 standard report recipients and to the chairpersons of the senate
11 and house appropriations committees.

12 Sec. 213. (1) Funds appropriated in part 1 must not be used to
13 restrict or impede a marginalized community's access to government
14 resources, programs, or facilities.

15 (2) From the funds appropriated in part 1, local governments
16 shall report any action or policy that attempts to restrict or
17 interfere with the duties of a local health officer.

18 Sec. 214. To the extent permissible under the management and
19 budget act, 1984 PA 451, MCL 18.1101 to 18.1594, the director of
20 each department or agency receiving appropriations in part 1 shall
21 take all reasonable steps to ensure geographically disadvantaged
22 business enterprises compete for and perform contracts to provide
23 services or supplies, or both. The director shall strongly
24 encourage firms with which the department contracts to subcontract
25 with certified geographically disadvantaged business enterprises
26 for services, supplies, or both. As used in this section,
27 "geographically disadvantaged business enterprises" means that term
28 as defined in Executive Directive No. 2023-1.

29 Sec. 215. On a quarterly basis, the department or agency



1 receiving appropriations in part 1 shall report on the number of
2 full-time equated positions in pay status by civil service
3 classification, including a comparison by line item of the number
4 of full-time equated positions authorized from funds appropriated
5 in part 1 to the actual number of full-time equated positions
6 employed by the department at the end of the reporting period. The
7 report must be submitted to the standard report recipients and the
8 senate and house of representatives appropriations committees.

9 Sec. 216. The department shall receive and retain copies of
10 all reports funded from appropriations in part 1. The department
11 shall follow federal and state law and guidelines for short-term
12 and long-term retention of records. The department may
13 electronically retain copies of reports unless otherwise required
14 by federal and state guidelines.

15 Sec. 217. Not later than April 1, the department shall report
16 on each specific policy change made to implement a public act
17 affecting the department that took effect during the previous
18 calendar year. The report must include reference to the public act
19 that necessitates the policy change. The department shall submit
20 the report to the standard report recipients, to the senate and
21 house appropriations committees, and to the joint committee on
22 administrative rules.

23 Sec. 218. To the extent possible, the department shall not
24 expend appropriations under part 1 until all existing authorized
25 work project funds available for the same purposes are exhausted.

26 Sec. 219. The state budget director shall take steps to ensure
27 that all state fiscal recovery funds and capital projects funds
28 allocated to this state under the American rescue plan act of 2021,
29 Public Law 117-2, are expended by December 31, 2026, as required by



1 law. Any state fiscal recovery funds and capital projects funds
2 that would otherwise lapse after September 30, 2026 are
3 automatically reappropriated for the same purpose as originally
4 authorized and available for expenditure through December 31, 2026
5 and any subsequent financial close out period.

6 Sec. 220. (1) The state budget director shall take steps to
7 ensure that all state fiscal recovery funds allocated to this state
8 under the American rescue plan act of 2021, Public Law 117-2, are
9 expended by December 31, 2026, as required by law. The state budget
10 director may reallocate appropriated funds for the purpose of fully
11 utilizing state fiscal recovery funds that are in jeopardy of not
12 meeting the expenditure deadline for reasons that may include, but
13 are not limited to, completed projects coming in under budget or
14 funds unable to be fully used by subrecipients. The state budget
15 director shall reallocate any of the funds reallocated under this
16 subsection to the programs or purposes specified in this section.
17 Any funds reallocated are unappropriated and immediately
18 reappropriated for the following purposes:

19 (a) To reclassify general fund/general purpose appropriations
20 for payroll and covered benefits for eligible public health and
21 safety employees at the department of corrections.

22 (b) To reclassify general fund/general purpose appropriations
23 for payroll and covered benefits for eligible public health and
24 safety employees at the department of state police.

25 (2) All applicable guidance, implementation, and reporting
26 provisions of the American rescue plan act of 2021, Public Law 117-
27 2, must be followed for state fiscal recovery funds reallocated and
28 reappropriated under subsection (1).

29 (3) The state budget director shall notify the senate and



1 house appropriations committees not later than 1 business day after
2 making any reallocations under subsection (1). The notification
3 must include the authorized program under which funds were
4 originally appropriated, the amount of the reallocation, the
5 program, or programs, or purpose, the department to which the funds
6 are being reallocated under subsection (1), and the amount
7 reallocated to each program or purpose.

8 Sec. 221. If the state administrative board, acting under
9 section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount
10 appropriated under part 1, the legislature may, by a concurrent
11 resolution adopted by a majority of the members elected to and
12 serving in each house, intertransfer funds within part 1 for the
13 particular department, board, commission, officer, or institution.

14 Sec. 222. (1) Within 30 days of enactment of this act, the
15 house of representatives and senate shall provide to the state
16 budget office a jointly agreed-upon list of legislatively directed
17 spending items funded in part 1 as defined in sections 364 and 364a
18 of the management and budget act, 1984 PA 431, MCL 18.1364 and
19 18.1364a. The list must include all information and documents
20 pertaining to the funded items as publicly disclosed in accordance
21 with sections 364 and 364a of the management and budget act, 1984
22 PA 431, MCL 18.1364 and 18.1364a.

23 (2) In accordance with section 364(4) of the management and
24 budget act, 1984 PA 431, MCL 18.1364, the department or agency
25 administering the grant shall post a report in a publicly
26 accessible location on its website beginning March 15 of the
27 current fiscal year. The department or agency shall update the
28 report and post an updated report not later than June 15 of the
29 current fiscal year and again not later than September 15 of the



1 current fiscal year. The department shall include in the report the
2 most comprehensive information the department has available at the
3 time of posting for grants awarded.

4 Sec. 223. (1) The department shall maximize utilization of its
5 in-person state workforce. The department shall prioritize
6 occupancy utilization of office space for each division within the
7 department. Employees with job responsibilities that require the
8 employees to serve in their capacities outside of an office must be
9 monitored each pay period to ensure all work hours reported on the
10 timesheet were actually worked.

11 (2) The department shall comply with requirements set forth by
12 the office of the state employer on in-person work and utilization
13 and occupancy rates of state buildings to ensure in-person work is
14 optimized and occupancy rates are 80% or higher, subject to market
15 conditions.

16 (3) The department shall adhere to the rules and regulations
17 of civil service, which state that the standard biweekly work
18 period for a full-time employee in the classified service is the
19 equivalent of 80 hours of work. The department shall establish
20 policies and processes to ensure all employees are working their
21 jobs during agreed-upon business hours.

22 Sec. 224. A department or agency that receives an
23 appropriation under this part or part 1 must provide an annual
24 report to the standard report recipients detailing federal policy
25 changes that do, or are expected to do, any of the following:

26 (a) Affect the operations of the department, including
27 reductions in federal revenue. For federal revenue reductions, the
28 annual report must detail the impact on the department or agency
29 and residents of this state, including, but not limited to, all of



1 the following information:

2 (i) The amount of additional state revenue required to replace
3 the lost federal revenue.

4 (ii) The services the department or agency will have to reduce
5 or eliminate due to the lost revenue.

6 (iii) The anticipated fiscal impact on residents of this state.

7 (b) Affect an industry, community, population, or other group
8 regulated or served by, or that otherwise engages with, the
9 department or agency.

10 (c) Create a regulatory gap that could negatively impact the
11 public.

12 (d) Increase the department's or agency's costs.

13 (e) Reduce or eliminate a program that provides services to
14 residents of this state.

15 Sec. 227. Not later than 6 months after the state budget
16 office issues work project letters, the department, agency, and
17 legislature shall submit an annual report that summarizes all work
18 project accounts. The report must include all of the following:

19 (a) A list of all work project accounts.

20 (b) The status of all work project accounts, including amounts
21 expended, amounts encumbered, and available balances for each
22 account.

23 (c) The amount of funds that lapsed from any previously
24 designated work project accounts, the name and description of the
25 work project account, and the funds that received the lapsed
26 amounts.

27 Sec. 228. Total authorized appropriations from all sources
28 under part 1 for legacy costs for the fiscal year ending September
29 30, 2027 are estimated at \$29,919,000.00. From this amount, total



1 appropriations for pension-related legacy costs for the department
2 are estimated at \$29,919,000.00. Total appropriations for retiree
3 health care legacy costs for the department are estimated at \$0.00.

4 Sec. 229. Not later than April 1, the department shall provide
5 to the standard report recipients a copy of its annual strategic
6 plan prepared in compliance with section 363 of the management and
7 budget act, 1984, PA 431, MCL 18.1363. The plan must include the
8 mission, vision, goals, strategies, and performance measures of the
9 department.

10 Sec. 230. The department shall report on any court settlement
11 that may require further legislative review of state statutory
12 programs or regulations.

13 Sec. 231. Not later than November 15, the department shall
14 disclose on a publicly accessible website private and other third-
15 party funds received by the department in the previous fiscal year.
16 The report must include the amount of funding received, the
17 specific source of funding received, the purpose for which funding
18 was expended, and the amount of any remaining funds. The report
19 must be submitted to the standard report recipients and to the
20 chairpersons of the senate and house appropriations committees.

21 Sec. 232. (1) In addition to any other requirements under this
22 part, if the department is authorized under this part to expend
23 funds in addition to those appropriated in part 1, the department
24 must do all of the following:

25 (a) Not later than November 1, provide a report to the
26 chairpersons of the house and senate appropriations committees, the
27 house and senate fiscal agencies, and the state budget office that
28 details all of the following:

29 (i) The type of funding received during the previous fiscal



1 year that was authorized in part 2 of the article that made
 2 appropriations for the department in the previous fiscal year.

3 (ii) When the funding was received.

4 (iii) The amount of funding received.

5 (iv) How much of the funding was spent and for what purpose or
 6 purposes.

7 (b) Not later than 60 days after receipt of funds authorized
 8 under this part, provide a report to the chairpersons of the house
 9 and senate appropriations committees, the house and senate fiscal
 10 agencies, and the state budget office that details all of the
 11 following:

12 (i) The type of funding received.

13 (ii) When the funding was received.

14 (iii) The amount of funding received.

15 (iv) The anticipated or actual amount to be spent and the
 16 specified purpose or purposes.

17 (c) Not later than February 15, provide a report to the
 18 chairpersons of the house and senate appropriations committees, the
 19 house and senate fiscal agencies, and the state budget office with
 20 an estimate of funding authorized by this part that the department
 21 anticipates it will receive in the subsequent fiscal year,
 22 identifying all of the following:

23 (i) The type or types of funding anticipated.

24 (ii) The amount or amounts of funding anticipated.

25 (iii) The purpose or purposes of the funding.

26 (2) If another reporting requirement under this part would
 27 provide substantially similar information on a substantially
 28 similar time frame as would be reported under subsection (1),
 29 subsection (1) does not apply.



DEPARTMENT OF LABOR AND ECONOMIC OPPORTUNITY

Sec. 302. Federal pass-through funds to local institutions and governments that are received in amounts in addition to those included in part 1 and that do not require additional state matching funds are appropriated for the purposes intended. The department may carry forward into the succeeding fiscal year unexpended federal pass-through funds to local institutions and governments that do not require additional state matching funds. The department shall report the amount and source of the funds to the standard report recipients not later than 10 business days after receiving any additional pass-through funds.

Sec. 303. Requirements under this part applicable to the fund and the fund's activities apply regardless of whether the fund delegates its functions and authority to the MEDC.

Sec. 304. (1) Grants supported with private revenues received by the department are appropriated upon receipt and are available for expenditure by the department for purposes specified within the grant agreement and as permitted under state and federal law.

(2) Not later than 10 days after the receipt of a private grant appropriated in subsection (1), the department shall notify the senate and house chairpersons of the subcommittees, the senate and house fiscal agencies, and the state budget director of the receipt of the grant, including the fund source, purpose, and amount of the grant.

(3) The amount appropriated under subsection (1) must not exceed \$3,000,000.00.

(4) Not later than March 15, the department shall report to the standard report recipients the amount of private revenue



1 generated in the previous fiscal year and the amount of private
2 revenue carried forward into the current fiscal year.

3 Sec. 305. (1) The department may charge registration fees to
4 attendees of informational, training, or special events that are
5 sponsored by the department and related to activities that are
6 under the department's purview.

7 (2) The fees under subsection (1) must reflect the costs for
8 the department to sponsor the informational, training, or special
9 events.

10 (3) Revenue generated by the registration fees under
11 subsection (1) is appropriated upon receipt and available for
12 expenditure to cover the department's costs of sponsoring
13 informational, training, or special events.

14 (4) Revenue generated by registration fees under this section
15 in excess of the department's costs of sponsoring informational,
16 training, or special events must carry forward to the subsequent
17 fiscal year and not lapse to the general fund.

18 (5) The amount appropriated under subsection (3) must not
19 exceed \$500,000.00.

20 (6) Not later than March 15, the department shall report to
21 the standard report recipients on the amount of registration fees
22 generated in the previous fiscal year and the amount of
23 registration fees carried forward into the current fiscal year.

24 Sec. 306. (1) The department may sell documents at a price not
25 to exceed the cost of production and distribution. Money received
26 from the sale of these documents must revert to the department. In
27 addition to the funds appropriated in part 1, these funds are
28 available for expenditure when they are received by the department
29 of treasury. This subsection applies only to R 418.10101 to R



1 418.101503 of the Michigan Administrative Code.

2 (2) Unexpended funds at the end of the fiscal year must carry
3 forward to the subsequent fiscal year and not lapse to the general
4 fund. The money carried forward under this section must be used as
5 the first source of funds in the subsequent fiscal year.

6 (3) Not later than March 15, the department shall report to
7 the standard report recipients the amount of revenue generated from
8 the sale of documents produced and distributed by the department in
9 the previous fiscal year and the amount of revenue generated from
10 the sale of documents produced and distributed by the department
11 carried forward into the current fiscal year.

12 Sec. 307. (1) If the revenue collected by the department for
13 radiological health administration and projects from fees and
14 collections exceeds the amount appropriated in part 1, the revenue
15 must be carried forward into the subsequent fiscal year. The
16 revenue carried forward under this section must be used as the
17 first source of funds in the subsequent fiscal year.

18 (2) Not later than March 15, the department shall report to
19 the standard report recipients the total amount of revenue from
20 fees and collections for any radiological health administration and
21 projects that was carried forward from the previous fiscal year.

22 Sec. 308. Funds appropriated in part 1 must not be used by a
23 department, authority, or agency to purchase an ownership interest
24 in a casino.

25 Sec. 309. From the funds appropriated in part 1, the
26 department shall develop recommendations for employers on best
27 practices to support, attract, and retain women in the workforce.
28 The department may partner with any additional stakeholders the
29 department deems necessary for completing the recommendations,



1 including the department of civil rights, the department of health
2 and human services, and the Michigan women's commission. The
3 recommendations must be published on the department's website not
4 later than January 1, 2027. The recommendations must include, but
5 are not limited to, guidance on all of the following:

6 (a) Postpartum care, including, but not limited to, flexible
7 scheduling, reasonable accommodations, lactation policies, and
8 mental health resources.

9 (b) Menstruation and menopause support, including, but not
10 limited to, counseling or medical resources, symptoms training, and
11 insurance coverage.

12 (c) Fair and transparent pay practices, including, but not
13 limited to, salary disclosures, clear criteria for raises, and
14 employer tools to assess compensation and address wage disparities.

15
16 **MICHIGAN STATE HOUSING DEVELOPMENT AUTHORITY**

17 Sec. 401. (1) Not later than March 15, MSHDA shall submit a
18 report to the standard report recipients on the status of the
19 authority's housing production goals under all financing programs
20 established or administered by the authority. The report must
21 include all of the following:

22 (a) Information on efforts to raise affordable multifamily and
23 single-family housing production goals.

24 (b) A summary of each MSHDA program that is intended to
25 increase the supply of affordable multifamily and single-family
26 housing.

27 (c) An explanation of how programs summarized in subdivision
28 (b) are utilized by the citizens of this state.

29 (d) MSHDA's status in obtaining its multifamily and single-



1 family housing production goals.

2 (e) Information on efforts to support the unhoused goals by
3 regions as determined by MSHDA.

4 (f) Information on efforts to lower rent and housing purchase
5 costs goals by each Opportunity Zone Prosperity Region.

6 (g) A list of all programs that have interdepartmental
7 coordination with DHHS, which must include a summary of the
8 coordination efforts between the departments on those programs.

9 (2) MSHDA shall not restrict eligibility in any financing
10 program for housing units without a permanent foundation unless
11 this restriction is required by the funding source.

12 Sec. 402. (1) The funds appropriated in part 1 for Michigan
13 housing and community development must be expended for projects
14 allowable under section 58c of the state housing development
15 authority act of 1966, 1966 PA 346, MCL 125.1458c, and allocated as
16 follows:

17 (a) The department shall allocate not less than \$9,000,000.00
18 towards the rehabilitation of housing for low income, very low
19 income, and extremely low income senior citizens, and eligible
20 senior citizen facilities. Funding must be allocated as grants. The
21 department may work with eligible municipalities to administer this
22 funding. The maximum grant to each eligible municipality must be
23 not more than \$50,000.00 for a single house and \$750,000.00 for a
24 multifamily unit. Before rehabilitation activities occur,
25 agreements must be signed between the grantee and contactors that
26 include provisions to compensate, or to provide no-cost housing
27 options to, inhabitants who are required to be out of their homes
28 during any duration of construction. Agreements must require a
29 certificate of compliance or, based on the review by the



1 department, be able to attain a certificate of compliance that
2 eligible upgrades have been completed. The total amount allocated
3 under this subdivision must be distributed in the following manner:

4 (i) 80% as preservation grants for interior and exterior
5 improvements to improve structural foundations of housing stock,
6 interior or exterior facade improvements, accessibility upgrades,
7 energy efficiency upgrades, plumbing and septic improvements,
8 elevator replacement or modernization, generator capacity
9 improvements, and essential appliance upgrades in areas with the
10 highest density of very low income and extremely low income senior
11 citizens.

12 (ii) 20% as gap financing for the construction of senior
13 citizen facilities for very low income and extremely low income
14 senior citizens in rural or disconnected areas.

15 (b) The department shall allocate not less than \$6,000,000.00
16 for activities related to preventing homelessness by providing
17 legal services to support eviction defense for individuals around
18 this state. Funding allocated under this subdivision must be
19 awarded as follows:

20 (i) 75% of funding must be awarded to municipalities that had a
21 tenant right to counsel program in the prior fiscal year or that
22 establish a tenant right to counsel program during the fiscal year.

23 (ii) 25% of the funding must be awarded to municipalities to
24 support housing navigators or social workers in counties with the
25 highest need.

26 (c) The department shall allocate not less than \$18,000,000.00
27 for providing down payment assistance and other support for very
28 low income and extremely low income households that are first-
29 generation or first-time home buyers. Priority for these funds must



1 be dedicated towards individuals who are buying homes in
 2 historically underserved and disadvantaged areas of this state. The
 3 funds allocated under this subdivision must be distributed in the
 4 following manner:

5 (i) 85% for first-generation home buyers.

6 (ii) 15% for first-time home buyers.

7 (d) The department shall allocate not less than \$3,000,000.00
 8 for foreclosure prevention and assistance by providing grants to
 9 nonprofit entities that assist very low income and extremely low
 10 income households in buying out a land contract that individuals
 11 have already entered into, homeownership counseling, and legal
 12 assistance at land contract forfeiture hearings.

13 (e) The department shall allocate not less than \$24,000,000.00
 14 for the preservation of existing housing that includes providing
 15 grants for home repairs and preweatherization to very low income
 16 and extremely low income households. Priority must be given to
 17 communities with the greatest housing and density of those
 18 households.

19 (2) As used in this section:

20 (a) "Eligible senior citizen facility" means a facility that
 21 houses over 80% senior citizens with the senior citizens who reside
 22 in the facility being low income, very low income, and extremely
 23 low income.

24 (b) "Essential appliance" means a water heater, air
 25 conditioning unit, furnace, or other appliance necessary to
 26 regulate temperature in the home.

27 (c) "Eligible municipality" means a municipality that has both
 28 of the following:

29 (i) A municipal landbank.



1 (ii) An average median household income of less than \$48,000.00
2 per year.

3 (d) "Extremely low income household" means a person, a family,
4 or unrelated persons living together whose adjusted household
5 income is not more than 30% of the area median income, as
6 determined by the authority.

7 (e) "Low income household" means a person, a family, or
8 unrelated persons living together whose adjusted household income
9 is more than 50%, but not more than 60%, of the area median income,
10 as determined by the authority.

11 (f) "Very low income household" means a person, a family, or
12 unrelated persons living together whose adjusted household income
13 is not more than 50% of the area median income, as determined by
14 the authority.

15 Sec. 405. If the state budget director lapses work project
16 number TW3235023, the amount of lapsed funds shall be appropriated
17 in addition to the funds appropriated in part 1 for grants to local
18 land banks for blight removal or redevelopment projects. Priority
19 must be given to municipalities that are located in a county that
20 has a county land bank, have an average median income of not more
21 than \$60,000.00 per year, and have the highest number of blighted
22 or dilapidated properties. Blight elimination within the local land
23 bank must be prioritized to projects with the greatest projected
24 economic impact. The department shall notify the standard report
25 recipients if funds are appropriated under this subsection.

26
27 **STATE LAND BANK AUTHORITY**

28 Sec. 451. (1) In addition to the amounts appropriated in part
29 1, the state land bank authority may expend revenues received under



1 the land bank fast track act, 2003 PA 258, MCL 124.751 to 124.774,
2 for the purposes authorized by the act, including, but not limited
3 to, the acquisition, lease, management, demolition, maintenance, or
4 rehabilitation of real or personal property, payment of debt
5 service for notes or bonds issued by the authority, and other
6 expenses to clear or quiet title property held by the authority.
7 The state land bank authority may establish partnerships with local
8 land bank authorities.

9 (2) Not later than March 15, the state land bank authority
10 shall submit a report to the standard report recipients that
11 includes all of the following:

12 (a) The number of real properties acquired, leased, managed,
13 demolished, maintained, or rehabilitated in the previous fiscal
14 year and list any partnerships that the state land bank authority
15 has with any local land bank authorities.

16 (b) A list of any properties sold by or otherwise transferred
17 from the state land bank authority in the previous fiscal year.

18 (c) A summary of efforts to reduce the inventory of state and
19 local land banks.
20

21 **MICHIGAN STRATEGIC FUND**

22 Sec. 501. The report required under section 9 of the Michigan
23 strategic fund act, 1984 PA 270, MCL 125.2009, must be transmitted
24 not later than March 15.

25 Sec. 502. In addition to the appropriations in part 1, Travel
26 Michigan may receive and expend private revenue related to the use
27 of "Pure Michigan" and all other copyrighted slogans and images.
28 This revenue may come from the direct licensing of the name and
29 image or from the royalty payments from various merchandise sales.



1 Revenue collected is appropriated for the marketing of this state
2 as a travel destination. The funds are available for expenditure
3 when they are received by the department of treasury. If the fund
4 receives revenues from the use of "Pure Michigan", the fund shall
5 provide a report that lists the revenues by source received from
6 the use of "Pure Michigan" and all other copyrighted slogans and
7 images. The report must provide a detailed list of expenditures of
8 revenues received under this section. The report must be provided
9 to the standard report recipients not later than March 15.

10 Sec. 503. (1) Funds appropriated in part 1 for Pure Michigan
11 must be used for the following purposes:

12 (a) Conduction of market research regionally, nationally, and
13 internationally for use in market campaigns.

14 (b) Production of advertisements for the promotion of Michigan
15 as a place to live, learn, build, work, play, and succeed.

16 (c) Placement of advertisements that have a diverse
17 representation in regional, national, and international market
18 campaigns to promote Michigan as a state that welcomes all
19 individuals and families.

20 (d) Not more than 2.0% of the appropriation for administration
21 of the program.

22 (e) Matching marketing campaigns funded from the local
23 promotion fund or private promotion fund.

24 (2) With the goal of increasing the population and workforce
25 of this state, the fund must work in cooperation with local ethnic
26 chambers and nonprofits that are designed to increase the
27 population in this state and the international talent in this
28 state.

29 (3) The fund may work in cooperation with local units of



1 government, nonprofit entities, and private entities on Pure
2 Michigan promotion campaigns. The fund shall include agreements
3 prior to undertaking cooperative marketing campaigns.

4 (4) The department shall provide an annual report to the
5 standard report recipients not later than March 15 on the
6 utilization of funds for eligible activities in subsection (1),
7 including a breakdown by eligible use, efforts taken to broaden the
8 scope of marketing activities to diverse populations, a breakdown
9 of funds spent within this state and outside of this state,
10 targeted marketing to encourage residents from other states to move
11 to this state, and how much was expended on market research.

12 (5) As prescribed by the legislature, funds appropriated to
13 Pure Michigan must be used only for this state to market itself as
14 a travel and tourist destination with the sole purpose of
15 attracting new visitors and retaining former visitors. All of the
16 following apply to marketing under this subsection:

17 (a) Promotion may be made by print, television, radio, and
18 social media.

19 (b) The purpose of the advertisements under subdivision (a)
20 must be to attract tourism and leisure travelers to this state.

21 (c) Advertisements that incorporate the Pure Michigan Byways
22 campaign satisfy the requirement under subdivision (b).

23 (6) Each local visitor bureau can only receive dollars
24 appropriated to Pure Michigan once per fiscal year.

25 Sec. 504. (1) A local promotion fund is created in the
26 department. The fund may receive funds from local units of
27 government and nonprofit entities and deposit these funds into the
28 local promotion fund. Funds received are available for expenditure
29 for use in Pure Michigan promotion campaigns. The fund may maintain



1 individual accounts for local units of government and nonprofit
2 entities that deposit funds into the local promotion fund upon
3 request from a local unit of government. As used in this
4 subsection, "local unit of government" includes cities, villages,
5 townships, counties, and regional councils of government.

6 (2) Local promotion funds appropriated in part 1 may be used
7 for media production and placements, national and international
8 marketing campaigns, and for other activities that promote Michigan
9 as a place to live, work, and play.

10 (3) Any unexpended or unencumbered balance must be disposed of
11 in accordance with the management and budget act, 1984 PA 431, MCL
12 18.1101 to 18.1594, unless carryforward authorization has been
13 otherwise provided for.

14 (4) The department shall provide a report to the standard
15 report recipients not later than March 15 on any funds that have
16 been generated by local units of government and how those funds
17 have been expended.

18 Sec. 505. (1) A private promotion fund is created in the
19 department. The fund may receive funds from private entities and
20 deposit these funds into the private promotion fund. Funds received
21 are available for expenditure for use in Pure Michigan promotion
22 campaigns. The fund may maintain individual accounts for private
23 entities that deposit funds into the private promotion fund upon
24 request from a private entity.

25 (2) Private promotion funds appropriated in part 1 may be used
26 for media production and placements, national and international
27 marketing campaigns, and for other activities that promote Michigan
28 as a place to live, work, and play.

29 (3) Any unexpended or unencumbered balance shall be disposed



1 of in accordance with the management and budget act, 1984 PA 431,
2 MCL 18.1101 to 18.1594, unless carryforward authorization has been
3 otherwise provided for.

4 Sec. 506. (1) As a condition of receiving funds appropriated
5 in part 1, the fund must provide a report of all approved
6 amendments to projects for the immediately preceding year under
7 sections 88r and 90b of the Michigan strategic fund act, 1984 PA
8 270, MCL 125.2088r and 125.2090b. The report must provide a
9 description of each amendment, by award, that includes, but is not
10 limited to, the following:

11 (a) The amended award amount relative to the prior award
12 amount.

13 (b) The amended number of committed jobs relative to the prior
14 number of committed jobs.

15 (c) The amended amount of qualified investment committed
16 relative to the prior amount of qualified investment committed.

17 (d) A description of any change in scope of the project.

18 (e) A description of any change in project benchmarks,
19 deadlines, or completion dates.

20 (f) The reason or justification for the amendment approval.

21 (2) In addition to being posted online, the report must be
22 distributed to the standard report recipients not later than March
23 15.

24 Sec. 507. (1) As a condition of receiving funds appropriated
25 in part 1, the fund must request the following information from the
26 MEDC:

27 (a) Approved budget from the MEDC executive committee for the
28 current fiscal year and actual budget expenditures for the previous
29 fiscal years.



1 (b) Expenditures and revenues as part of the current and
2 previous year budgets, including the available fund balance for the
3 current and previous fiscal years.

4 (c) The total number of FTEs, by state and corporate status
5 and whether the position is currently filled or unfilled.

6 (d) A reporting of activities, programs, and grants consistent
7 with the previous fiscal year budget.

8 (e) A description of all subprograms funded with the business
9 attraction and community revitalization line item.

10 (2) Information received by the fund under this section must
11 be posted online and distributed to the standard report recipients
12 not later than March 15.

13 Sec. 508. As a condition of receiving funds under part 1, any
14 interlocal agreement entered into by the fund must include language
15 that states that if a local unit of government has a contract or
16 memorandum of understanding with a private economic development
17 agency, the MEDC will work cooperatively with that private
18 organization in that local area.

19 Sec. 509. (1) From the funds appropriated in part 1, the
20 department shall notify the standard report recipients no later
21 than 45 days after the purchase of land or options on land and
22 include in the notification the location of the land, information
23 on the entity that sold the land, and the purchase price of the
24 land or option on land.

25 (2) If land or options on land are purchased under subsection
26 (1), the fund shall provide a report that provides a list of all
27 properties purchased, all options on land purchased, the location
28 of the land purchased, and the purchase price if the fund purchases
29 options on land or land. The report must be submitted to the



1 standard report recipients not later than March 15.

2 Sec. 510. As a condition for receiving funds in part 1, not
3 later than March 15, the fund shall provide a report for the
4 previous fiscal year on the jobs for Michigan investment fund,
5 created in section 88h of the Michigan strategic fund act, 1984 PA
6 270, MCL 125.2088h. The report must include, but is not limited to,
7 all of the following:

8 (a) A detailed listing of revenues, by fund source, to the
9 jobs for Michigan investment fund. The listing must include the
10 manner and reason for which the funds were appropriated to the jobs
11 for Michigan investment fund.

12 (b) A detailed listing of expenditures, by project, from the
13 jobs for Michigan investment fund.

14 (c) A fiscal year-end balance of the jobs for Michigan
15 investment fund.

16 Sec. 511. (1) From the appropriations in part 1 to the fund
17 and granted or transferred to the MEDC, any unexpended or
18 unencumbered balance must be disposed of in accordance with the
19 requirements in the management and budget act, 1984 PA 431, MCL
20 18.1101 to 18.1594, unless carryforward authorization has been
21 otherwise provided for.

22 (2) Any encumbered funds, including encumbered funds
23 subsequently unobligated, must be used for the same purposes for
24 which funding was originally appropriated in this part and part 1.

25 (3) For funds appropriated in part 1 to the fund, any
26 carryforward authorization subsequently created through a work
27 project must be preserved until a cash or accrued expenditure has
28 been executed or the allowable work project time period has
29 expired.



1 Sec. 512. (1) As a condition of receiving funds under part 1,
2 the fund must ensure that the MEDC and the fund comply with all of
3 the following:

4 (a) The freedom of information act, 1976 PA 442, MCL 15.231 to
5 15.246.

6 (b) The open meetings act, 1976 PA 267, MCL 15.261 to 15.275.

7 (c) Annual audits of all financial records by the auditor
8 general or the auditor general's designee.

9 (d) All reports required by law to be submitted to the
10 legislature.

11 (2) If the MEDC is unable for any reason to perform duties
12 under this part, the fund may exercise those duties.

13 Sec. 513. As a condition for receiving the appropriations in
14 part 1, any staff of the MEDC involved in private fund-raising
15 activities must not be party to any decisions regarding the
16 awarding of grants, incentives, or tax abatements from the fund,
17 the critical industry program, the Michigan strategic site
18 readiness program, the MEDC, or the MEGA.

19 Sec. 515. (1) The fund shall report to the standard report
20 recipients on the status of the film incentives at the same time as
21 it submits the annual report required under section 455 of the
22 Michigan business tax act, 2007 PA 36, MCL 208.1455. The department
23 of treasury shall provide the fund with the data necessary to
24 prepare the report. Incentives included in the report shall include
25 all of the following:

26 (a) The tax credit provided under section 455 of the Michigan
27 business tax act, 2007 PA 36, MCL 208.1455.

28 (b) The tax credit provided under section 457 of the Michigan
29 business tax act, 2007 PA 36, MCL 208.1457.



1 (c) The tax credit provided under section 459 of the Michigan
2 business tax act, 2007 PA 36, MCL 208.1459.

3 (d) The amount of any tax credit claimed under former section
4 367 of the income tax act of 1967, 1967 PA 281.

5 (e) Any tax credits provided for film and digital media
6 production under the Michigan economic growth authority act, 1995
7 PA 24, MCL 207.801 to 207.810.

8 (f) Loans to an eligible production company or film and
9 digital media private equity fund authorized under section 88d(3),
10 (4), and (5) of the Michigan strategic fund act, 1984 PA 270, MCL
11 125.2088d.

12 (2) The report must include all of the following information:

13 (a) For each tax credit, the number of contracts signed, the
14 projected expenditures qualifying for the credit, and the estimated
15 value of the credits. For loans, the number of loans made under
16 each section, the interest rate of those loans, the loan amount,
17 the percent of the projected budget of each production financed by
18 those loans, and the estimated interest earnings from the loan.

19 (b) For credits authorized under section 455 of the Michigan
20 business tax act, 2007 PA 36, MCL 208.1455, for productions
21 completed by December 31, the expenditures of each production
22 eligible for the credit that has filed a request for certificate of
23 completion with the film office, broken down into expenditures for
24 goods, services, or salaries and wages and showing separately
25 expenditures in each local unit of government, including
26 expenditures for personnel, whether or not they were made to a
27 Michigan entity, and whether or not they were taxable under the
28 laws of this state.

29 (c) For loans, the report must include the number of loans



1 that have been fully repaid, with principal and interest shown
2 separately, and the number of loans that are delinquent or in
3 default, and the amount of principal that is delinquent or is in
4 default.

5 (d) For each of the tax credit incentives and loan incentives
6 listed in subsection (1), a breakdown for each project or
7 production showing each of the following:

8 (i) The number of temporary jobs created.

9 (ii) The number of permanent jobs created.

10 (iii) The number of persons employed in Michigan as a result of
11 the incentive, on a full-time equated basis.

12 (3) For any information not included in the report due to the
13 provisions of section 455(6), 457(6), or 459(6) of the Michigan
14 business tax act, 2007 PA 36, MCL 208.1455, 208.1457, and 208.1459,
15 the report shall do all of the following:

16 (a) Indicate how the information would describe the commercial
17 and financial operations or intellectual property of the company.

18 (b) Attest that the information has not been publicly
19 disseminated at any time.

20 (c) Describe how disclosure of the information may put the
21 company at a competitive disadvantage.

22 (4) Any information not disclosed due to the provisions of
23 section 455(6), 457(6), or 459(6) of the Michigan business tax act,
24 2007 PA 36, MCL 208.1455, 208.1457, and 208.1459, must be presented
25 at the lowest level of aggregation that would no longer describe
26 the commercial and financial operations or intellectual property of
27 the company.

28 (5) As a condition of receiving funds in part 1, not later
29 than March 15, the fund shall provide a report on the activities of



1 the Michigan film and digital media office for the previous fiscal
2 year to the standard report recipients. The report must include,
3 but is not limited to, a listing of all projects the Michigan film
4 and digital media office provided assistance on, a listing of the
5 services provided for each project, and an estimate of investment
6 leveraged.

7 Sec. 516. As a condition of receiving an award from the fund,
8 each business incubator or accelerator that received an award from
9 the fund must maintain and update a dashboard of indicators to
10 measure the effectiveness of the business incubator and accelerator
11 programs. Indicators must include the direct jobs created, new
12 companies launched as a direct result of business incubator or
13 accelerator involvement, businesses expanded as a direct result of
14 business incubator or accelerator involvement, direct investment in
15 client companies, private equity financing obtained by client
16 companies, grant funding obtained by client companies, and other
17 measures developed by the recipient business incubators and
18 accelerators in conjunction with the MEDC. Dashboard indicators
19 must be reported for the previous fiscal year and cumulatively, if
20 available. Each recipient shall submit a copy of their dashboard
21 indicators to the fund by March 1. The fund shall transmit the
22 local reports not later than March 15.

23 Sec. 517. (1) From the appropriations in part 1, the Michigan
24 arts and culture council shall administer an arts and cultural
25 grant program that maintains an equitable geographic distribution
26 of funding and utilizes past arts and cultural grant programs as a
27 guideline for administering this program. The council shall do all
28 of the following:

29 (a) Not later than October 1, publish proposed application



1 criteria, instructions, and forms for use by eligible applicants.
2 The council shall provide at least a 2-week period for public
3 comment before finalizing the application criteria, instructions,
4 and forms.

5 (b) Assess a nonrefundable application fee that may be applied
6 for each application. Application fees must be deposited in the
7 council for the arts fund and are appropriated for expenses
8 necessary to administer the programs. These funds are available for
9 expenditure when they are received and may be carried forward to
10 the subsequent fiscal year.

11 (c) Issue grants to public and private arts and cultural
12 entities.

13 (d) Not later than 1 business day after the award
14 announcements, provide to each member of the legislature and the
15 fiscal agencies a list of all grant recipients and the total award
16 given to each recipient, sorted by county.

17 (e) In addition to the information in subdivision (d), report
18 on the number of applications received, number of grants awarded,
19 total amount requested from applications received, total amount of
20 grants awarded, and amount of application fees collected in the
21 previous fiscal year.

22 (2) Up to 3.0% of the funds appropriated in part 1 for arts
23 and cultural program may be expended for the administration of the
24 grant program.

25 Sec. 518. (1) The general fund/general purpose funds
26 appropriated in part 1 to the fund for business attraction and
27 community revitalization must be transferred to the 21st century
28 jobs trust fund per section 90b(3) of the Michigan strategic fund
29 act, 1984 PA 270, MCL 125.2090b.



1 (2) Funds transferred to the 21st century jobs trust fund
2 under subsection (1) are appropriated and available for allocation
3 as authorized in the Michigan strategic fund act, 1984 PA 270, MCL
4 125.2001 to 125.2094.

5 Sec. 519. For the funds appropriated in part 1 for business
6 attraction and community revitalization, the fund shall report
7 quarterly to the standard report recipients on the amount of funds
8 considered appropriated, pre-encumbered, encumbered, and expended
9 by current fiscal year appropriation and each work project for any
10 previous fiscal years. The report must also include a listing of
11 all previous appropriations for business attraction and community
12 revitalization, or a predecessor, that were considered
13 appropriated, pre-encumbered, encumbered, or expended that have
14 lapsed back to the fund for any purpose. The report must be
15 submitted to the standard report recipients. The report must also
16 include how much of business attraction and community
17 revitalization was spent on business development, community
18 revitalization, small business supports, or community development
19 financial institutions.

20 Sec. 520. (1) The fund, in conjunction with the department of
21 treasury, shall report not later than November 1 on the annual cost
22 of the MEGA tax credits. The report must include for each year the
23 board-approved credit amount, adjusted for credit amendments where
24 applicable, and the actual and projected value of tax credits for
25 each year from 1995 to the expiration of the credit program. For
26 years for which credit claims are complete, the report must include
27 the total of actual certificated credit amounts. For years that
28 claims are still pending or not yet submitted, the report must
29 include a combination of actual credits where available and



1 projected credits. Credit projections must be based on updated
2 estimates of employees, wages, and benefits for eligible companies.

3 (2) In addition to the report under subsection (1), the fund,
4 in conjunction with the department of treasury, shall report to the
5 standard report recipients not later than November 1 on the annual
6 cost of all other certificated credits by program, for each year
7 until the credits expire or can no longer be collected. The report
8 must include estimates on the brownfield redevelopment credit, film
9 credits, MEGA photovoltaic technology credit, MEGA polycrystalline
10 silicon manufacturing credit, MEGA vehicle battery credit, and
11 other certificated credits.

12 Sec. 521. As a condition of receiving appropriations in part
13 1, prior to authorizing the transfer of any previously authorized
14 tax credit that would increase the liability to this state, the
15 fund, on behalf of the fund's board, must notify the standard
16 report recipients of the transfer of any previously authorized tax
17 credit that would increase the liability to this state not fewer
18 than 30 days prior to the authorization of the tax credit transfer.

19 Sec. 522. (1) From the funds appropriated in part 1 for
20 business attraction and community revitalization, the fund shall
21 identify specific outcomes and performance measures, including, but
22 not limited to, the following:

23 (a) Total verified jobs created by the business attraction
24 program during the previous fiscal year.

25 (b) Total private investment obtained through the business
26 attraction and community revitalization programs during the
27 previous fiscal year.

28 (c) Amount of private and public square footage created and
29 reactivated through the community revitalization program during the



1 previous fiscal year.

2 (d) A summary of any metrics used to evaluate the outcomes and
3 performance of the programs.

4 (e) A list of grants to small business and community support
5 hubs and any local nonprofits. The list must include partnership
6 between those recipients.

7 (f) The amount of interest generated on loans paid back by
8 entities and the entities that have paid back a loan.

9 (g) A list of community development financial institutions
10 that received grants, the projected economic effect of each
11 project, loans that have been paid back, the default rate, the
12 average interest charged, and interest generated.

13 (2) The fund shall submit a report to the standard report
14 recipients not later than March 15. The report must describe the
15 specific outcomes and measures required in subsection (1) and
16 provide the results and data related to these outcomes and measures
17 for the previous fiscal year if related information is available
18 for the previous fiscal year. The report must also contain a
19 summary of any metrics used to evaluate the outcomes and
20 performance of any programs.

21 Sec. 523. In addition to the funds appropriated in part 1, the
22 funds collected by state historic preservation programs for
23 document reproduction and services and application fees are
24 appropriated for all expenses necessary to provide the required
25 services. These funds are available for expenditure when they are
26 received and may be carried forward into the succeeding fiscal
27 year.

28 Sec. 524. Tax capture revenues collected in accordance with
29 written agreements under the good jobs for Michigan program and



1 transferred from the general fund for deposit into the good jobs
2 for Michigan fund, and for both calculated payments from the good
3 jobs for Michigan fund to authorized businesses and distributions
4 to the fund for administrative expenses, are appropriated under the
5 provisions of chapter 8D of the Michigan strategic fund act, 1984
6 PA 270, MCL 125.2090g to 125.2090j.

7 Sec. 525. The department shall provide a report to the
8 standard report recipients on March 15 that includes, but is not
9 limited to, fiscal year-to-date expenditures by division and
10 program unit within the job creation services line item. The report
11 must contain detailed information on expenditures and programs
12 within the state historic preservation office, including a list of
13 any entities that receive financial support from the state historic
14 preservation office.

15 Sec. 526. (1) The funds appropriated in part 1 for Michigan
16 office of defense and aerospace innovation shall be used by the
17 Michigan strategic fund to protect and grow the defense and
18 homeland security industry in this state by protecting this state's
19 current department of defense missions, infrastructure, and
20 industry, including securing new missions and increasing defense
21 and homeland security spending in this state. These funds may be
22 used for, but are not limited to, the following activities:

23 (a) Helping businesses in this state identify federal defense
24 contract opportunities.

25 (b) Providing technical assistance for bid responses to
26 federal defense contracts.

27 (c) Strengthening cybersecurity compliance at businesses in
28 this state to qualify for federal defense contracts.

29 (d) Not less than 25.0% must be dedicated to improving



1 workforce development initiatives for individuals who are less than
2 25 years old. The Michigan office of defense and aerospace
3 innovation may work with the MiSTEM advisory council on developing
4 youth pipelines to defense, homeland security, and aerospace
5 industries.

6 (2) Not later than March 15, the Michigan office of defense
7 and aerospace innovation shall provide an annual report to the
8 standard report recipients. The report must include, but is not
9 limited to, all of the following:

10 (a) A strategic plan for the organization.

11 (b) An overview of the defense industry in this state,
12 including identification of recent accomplishments and services
13 provided to businesses in this state in the most recent year.

14 (c) A list of expenditures used to fund memberships in
15 organizations and costs associated with attending conferences and
16 expositions in the previous fiscal year.

17 (d) The most recent annual figures on direct domestic defense-
18 related contracts and grants awarded to Michigan-based entities in
19 the previous fiscal year.

20 (e) A summary of contracts or defense industry business with
21 international clients.

22 Sec. 527. (1) From the funds appropriated in part 1 for the
23 Michigan strategic fund, the fund shall reserve \$10,000,000.00 in
24 the jobs for Michigan investment fund for the purposes described in
25 this section as a separate Michigan community impact revolving loan
26 fund within the jobs for Michigan investment fund. All loans and
27 interest repaid must be deposited into the Michigan community
28 impact revolving loan fund and be available for additional grants
29 and loans described under this section.



1 (2) The fund shall create the Michigan community impact fund
2 program to provide grants to qualified nonprofits for eligible
3 activities. The Michigan community impact fund program must be
4 operated and administered by authorized officers, employees, or
5 agents of the fund, including by the MEDC and its employees.

6 (3) By November 1, 2026, the fund shall develop a grant
7 application in accordance with the requirements of this section.
8 The fund shall accept applications for 45 days after the
9 application process is published. A grant application must include
10 all of the following information:

11 (a) The name of the applicant.

12 (b) The location of the principal office of the applicant.

13 (c) Documentation indicating whether the applicant is a
14 qualified nonprofit.

15 (d) A list of the applicant's board of directors.

16 (e) A description of the proposed use of the grant award by
17 the applicant for eligible activities.

18 (f) A list and description of any partners affiliated with the
19 qualified revolving loan fund.

20 (g) A timeline for implementation of eligible activities.

21 (4) The fund shall approve or deny a grant application within
22 45 days of receiving a grant application. If the application
23 complies with the requirements of this section, the fund shall
24 approve the award of the grant in the amount requested by the
25 applicant. The fund may deny grant applications submitted under
26 this section for the following reasons:

27 (a) The applicant does not satisfy all of the requirements
28 described in this section.

29 (b) Subject to this section, there is insufficient money in



1 the jobs for Michigan investment fund to pay the grant amount
2 requested.

3 (5) On approval of an application, the fund and the applicant
4 shall sign a written grant agreement providing the terms of the
5 grant agreement. A grant agreement must include all of the
6 following:

7 (a) A requirement that the grant awarded be committed under a
8 fund agreement for eligible activities by the recipient within 1
9 year of the date that the recipient receives the grant award.

10 (b) A requirement that the entire amount of the grant awarded
11 from the Michigan community impact revolving loan fund be expended
12 within this state.

13 (c) A requirement that the grant award recipient is certified
14 as a community development financial institution under 12 CFR
15 1805.201 while the grant agreement is in effect.

16 (d) A requirement that the grant award recipient comply with
17 all requirements applicable under the community development banking
18 and financial institutions act of 1994 while the agreement is in
19 effect.

20 (e) Provisions authorizing the fund to enforce the terms of
21 the grant agreement, including a requirement that a noncompliant
22 recipient of a grant award may be required to repay the portion of
23 the award not committed by the recipient pursuant to a permitted
24 loan, program, or agreement. Money repaid under this subdivision
25 must be deposited into the Michigan community impact revolving loan
26 fund.

27 (f) A requirement for the grant award recipient to report on
28 activities consistent with the requirements of subsection (6).

29 (6) The fund shall require a recipient of a grant awarded



1 under this section to report annually to the fund regarding the
2 activities under this section by March 1, regarding information
3 from the previous fiscal year. The fund shall submit a report to
4 the standard report recipients by March 15 that includes, but is
5 not limited to, all of the following:

6 (a) A list of community development financial institutions
7 receiving grants from the Michigan community impact revolving loan
8 fund.

9 (b) A list of loan transactions made by the community
10 development financial institutions that received grants from the
11 qualified revolving loan fund during the prior fiscal year that
12 includes all of the following:

13 (i) The name of each transaction.

14 (ii) A transition tracking number for each transaction.

15 (iii) The date of each transaction.

16 (iv) The amount of each transaction.

17 (v) The total project cost for each transaction if other
18 funding was involved.

19 (vi) The physical address of the borrower or customer for each
20 transaction.

21 (vii) The census tract of the borrower or customer for each
22 transaction.

23 (viii) An indication of whether the census tract in which the
24 transaction is located is an eligible investment area.

25 (ix) A description of the projected economic impact of the
26 transaction.

27 (x) A description of any loan type, financial products, or
28 financial services provided.

29 (7) The fund shall not include information in the report



1 required under subsection (6) if the information is either of the
2 following:

3 (a) Exempt from disclosure or confidential as proprietary
4 business or financial information under the community development
5 banking and financial institutions act of 1994.

6 (b) Exempt from disclosure under the freedom of information
7 act, 1976 PA 442, MCL 15.231 to 15.246.

8 (8) The legislature finds and declares that activities under
9 this section are for community economic revitalization and
10 community development through community development financial
11 institutions and will increase lending capacity to support economic
12 recovery, including support for small businesses, housing and
13 redevelopment projects, and consumer loans to promote financial
14 capability, and is for a public purpose. It is the intent of the
15 legislature that the economic benefits resulting from this section
16 occur substantially within this state.

17 (9) As used in this section:

18 (a) "Community development banking and financial institutions
19 act of 1994" means subtitle A of the Riegle community development
20 and regulatory improvement act of 1994, 12 USC 4701 to 4719.

21 (b) "Community development financial institution" means that
22 term as defined in section 103 of the community development banking
23 and financial institutions act of 1994, 12 USC 4702.

24 (c) "Depository institution" means any of the following:

25 (i) A bank as that term is defined in section 3(a) of the
26 federal deposit insurance act, 12 USC 1813.

27 (ii) A savings association as that term is defined in section
28 3(b) of the federal deposit insurance act, 12 USC 1813.

29 (iii) A credit union as that term is defined in section 102 of



1 the credit union act, 2003 PA 215, MCL 490.102.

2 (iv) A depository institution holding company as that term is
3 defined in 12 CFR 1805.104.

4 (d) "Eligible activities" means the creation of a qualified
5 revolving loan fund by a qualified nonprofit.

6 (e) "Federal fund" means the community development financial
7 institutions fund established under section 104 of the community
8 development banking and financial institutions act of 1994, 12 USC
9 4703, and moved within the United States Department of Treasury by
10 the emergency supplemental appropriations for additional disaster
11 assistance, for anti-terrorism initiatives, for assistance in the
12 recovery from the tragedy that occurred at Oklahoma City, and
13 rescissions act, 1995, Public Law 104-19, and by Public Law 104-
14 134.

15 (f) "Qualified nonprofit" means a Michigan nonprofit
16 corporation that is incorporated with the primary goal of building
17 the capacity of community development financial institutions.

18 (g) "Qualified revolving loan fund" means a loan fund operated
19 by a qualified nonprofit that provides low-interest loans to
20 community development financial institutions for the purposes of
21 providing loans to residents of the state as allowed by the federal
22 fund.

23 Sec. 528. (1) The funds appropriated in part 1 for job
24 creation services shall support the office of small business growth
25 within the Michigan economic development corporation to lead,
26 coordinate, and administer statewide programs, services, and
27 investments that support the launch, resilience, and growth of
28 small businesses in this state, including a focus on and support
29 for microbusinesses.



1 (2) The office shall serve as this state's primary point of
2 coordination for small business development, technical assistance,
3 access to capital, and cross-agency small business initiatives.

4 (3) The office shall perform duties under this section that
5 include all of the following:

6 (a) Develop and enhance a statewide, collaborative, public-
7 private partner network to accelerate small business formation,
8 resilience, and scale.

9 (b) Administer grants, loans, and investments to
10 organizations, intermediaries, and subject-matter experts that
11 provide technical assistance, coaching, consulting, training, or
12 other services that support small business success.

13 (c) Administer grants, loans, and investments directly to
14 Michigan-headquartered small businesses to advance strategic
15 company or industry growth objectives, including supply chain
16 resiliency, clean energy integration, technology adoption, and
17 global competitiveness.

18 (d) Coordinate with lenders, financial institutions, industry
19 partners, and other key stakeholders to strengthen and expand
20 access to capital for small businesses, including addressing
21 industry, regional, and demographic gaps in lending, enhancing
22 capital readiness, and supporting innovative financing models that
23 improve small business growth and resilience.

24 (e) Lead cross-agency coordination with relevant state
25 departments to improve small business navigation of state
26 resources, regulatory processes, and programs connected to business
27 launch, resilience, and expansion.

28 (f) Align small business services with this state's broader
29 entrepreneurship, innovation, and economic development strategies,



1 including leveraging state and federal funding, data, evaluation,
2 and ecosystem-building efforts.

3 (g) Collect and analyze data to monitor program effectiveness,
4 vendor and partner impact, and small business outcomes, and ensure
5 transparency and accountability through public reporting.

6 (h) Create, implement, and update a statewide strategic plan
7 for creation and distribution of economic growth services focused
8 on economic gardening. This plan must be developed and maintained
9 with ongoing engagement with regionally representative
10 stakeholders.

11 (4) The office may enter into agreements, contracts, or
12 partnerships with public, private, nonprofit, philanthropic, and
13 academic partners necessary to carry out the responsibilities under
14 this section and to implement programs and initiatives supporting
15 small business development statewide.

16 (5) The office may establish eligibility criteria, application
17 processes, compliance requirements, and reporting standards for
18 recipients of funds administered under this section.

19 (6) The office shall submit an annual report to the standard
20 report recipients that includes, but is not limited to, all of the
21 following information:

22 (a) Expenditures made under this section.

23 (b) Partner and program performances.

24 (c) Measurable small business outcomes in this state.

25 (d) Regional and demographic distribution of services and
26 investments.

27 (7) As used in this section:

28 (a) "Microbusiness" means a business headquartered in this
29 state with fewer than 25 employees.



1 (b) "Small business" means a business headquartered in this
2 state with fewer than 200 employees.

3
4 **EMPLOYMENT SERVICES**

5 Sec. 601. From the funds appropriated in part 1 for wage and
6 hour program, the department shall continue to engage with
7 employers and employees to enhance education and outreach, in
8 accordance with the youth employment standards act, 1978 PA 90, MCL
9 409.101 to 409.124, 1978 PA 390, MCL 408.471 to 408.490, the
10 improved workforce opportunity wage act, 2018 PA 337, MCL 408.931
11 to 408.945, the earned sick time act, 2018 PA 338, MCL 408.961 to
12 408.974, the human trafficking notification act, 2016 PA 62, MCL
13 752.1031 to 752.1040, and 2023 PA 10, MCL 408.1101 to 408.1126, and
14 private right of action. In addition to the funds appropriated in
15 part 1, all funds received in the prevailing wage fund created in
16 section 25a of 2023 PA 10, MCL 408.1125a, are appropriated for the
17 purposes allowable under section 25a of 2023 PA 10, MCL 408.1125a.

18 Sec. 602. (1) In addition to the funds appropriated in part 1,
19 all funds necessary to pay approved claims and administrative costs
20 incurred during this fiscal year, as allowed in the Christopher R.
21 Slezak first responder presumed coverage fund created in section
22 405 of the worker's disability compensation act of 1969, 1969 PA
23 317, MCL 418.405, are appropriated for the purposes authorized
24 under section 405 of the worker's disability compensation act of
25 1969, 1969 PA 317, MCL 418.405.

26 (2) The department shall provide a year-end report to the
27 Michigan gaming control board, the department of treasury, and the
28 state budget office that includes, but is not limited to, the total
29 of all approved claims and administrative costs incurred as of



September 30 of the current fiscal year.

WORKFORCE DEVELOPMENT

Sec. 701. The department shall administer the PATH training program in accordance with the requirements of section 407(d) of title IV of the social security act, 42 USC 607, the social welfare act, 1939 PA 280, MCL 400.1 to 400.119b, and all other applicable laws and regulations.

Sec. 702. (1) From the funds appropriated in part 1 for workforce development, the department may allocate funding for grants to nonprofit organizations that offer programs under the workforce innovation and opportunity act, 29 USC 3101 to 3361, for eligible youth that focus on apprenticeship readiness, pre-apprenticeship and apprenticeship activities, entrepreneurship, work-readiness skills, job shadowing, or financial literacy. Additionally, programs eligible for funding under this section must include the participation of local business partners. The department shall develop other appropriate eligibility requirements to ensure compliance with applicable federal rules and regulations.

(2) Not later than March 15, the department shall report at least all of the following:

(a) Total grants expended under this section in the previous fiscal year.

(b) The total number of students served from the grants appropriated under this section.

(c) A list of all organizations and the amount each organization received from the funding appropriated under this section.

Sec. 703. From the funds appropriated in part 1, the



1 department shall make available, in person or by telephone, 1
2 disabled veterans outreach program specialist or local veterans
3 employment representative to Michigan works service centers, as
4 resources permit, during hours of operation, and shall continue to
5 make the appropriate placement of veterans and disabled veterans a
6 priority.

7 Sec. 704. (1) In addition to the funds appropriated in part 1,
8 any unencumbered and unrestricted funds allocated under the federal
9 workforce innovation and opportunity act, 29 USC 3101 to 3361, or
10 trade adjustment assistance funds available from previous fiscal
11 years are appropriated for the purposes originally intended.

12 (2) The department shall report to the standard report
13 recipients not later than March 15 on the amount, by fiscal year,
14 of funds allocated under the federal workforce innovation and
15 opportunity act, 29 USC 3101 to 3361, appropriated under this
16 section.

17 Sec. 705. (1) The department shall publish data and reports on
18 March 15 and September 15 on the department website concerning the
19 status of Going pro funded in part 1. The report must include the
20 following:

21 (a) The number of awardees participating in the program and
22 the names of those awardees organized by major industry group.

23 (b) The amount of funding received by each awardee under the
24 program.

25 (c) The amount of funding leveraged from each awardee.

26 (d) The training models established by each awardee.

27 (e) The number of individuals enrolled in classroom training,
28 on-the-job training, or new USDOL registered apprentices.

29 (f) The number of qualified employees who completed the



1 approved training.

2 (g) The number of applications received and the number of
3 grants awarded for each region.

4 (h) The number of individuals hired and trained, the number of
5 incumbent workers trained, and the number of USDOL registered
6 apprentices.

7 (i) Going pro expenditures by fiscal year. Active fiscal years
8 must display projected expenditure data and closed fiscal years
9 must display final expenditure data.

10 (2) The department shall expand workforce training and
11 reemployment services to better connect workers to in-demand jobs
12 and identify specific outcomes with performance metrics for this
13 initiative, including, but not limited to, new apprenticeships,
14 individuals to be hired and trained, current employees trained,
15 training completed, employment retention rate at 6 months, and
16 hourly wage at 6 months.

17 Sec. 706. To the extent consistent with sections 7 and 9 of
18 the Going pro talent fund act, 2018 PA 260, MCL 408.157 and
19 408.159, the department shall administer the program as follows:

20 (a) The department shall work cooperatively with grantees to
21 maximize the amount of funds from part 1 that are available for
22 direct training.

23 (b) The department, workforce development partners, including
24 regional Michigan works agencies, and employers shall collaborate
25 and work cooperatively to prioritize and streamline the expenditure
26 of the funds appropriated in part 1. The department shall ensure
27 that Going pro provides a collaborative statewide network of
28 workforce and employee skill development partners that addresses
29 the employee talent needs throughout this state.



1 (c) The department shall do all of the following:

2 (i) Develop program goals and detailed guidance for prospective
3 participants to follow to qualify under the program.

4 (ii) Post the program goals and detailed guidance on the
5 department's website and distribute the program goals and detailed
6 guidance to workforce development partners, including local
7 Michigan works agencies, not later than October 1.

8 (iii) Conduct periodic assessments of employer and employee
9 needs that are evaluated on a regional basis.

10 (iv) Identify solutions and goals to be implemented to satisfy
11 employer and employee needs.

12 (v) Add scoring criteria that incentivize awards to new and
13 diverse program applicants.

14 (d) The department shall use not more than 2% of the total
15 going pro appropriation for administration of the program.

16 (e) Not less than 5% of available funding must be reserved for
17 businesses in talent fund priority industry sectors that submit
18 competitive applications.

19 (f) Allow the MiSTEM council to assist in processing grant
20 applications.

21 Sec. 707. The funds appropriated in part 1 for MiSTEM advisory
22 council must be used to support the staff for the MiSTEM network,
23 and for administrative, training, and travel costs related to the
24 MiSTEM council. The staff for the MiSTEM network shall do all of
25 the following:

26 (a) Serve as a liaison among and between the department, the
27 department of lifelong education, advancement, and potential, the
28 department of education, the MiSTEM council, the governor's
29 workforce development board, the MiSTEM regions, and any other



1 relevant organization or entity in a manner that creates a robust
2 statewide STEM culture, empowers STEM teachers, integrates business
3 and education into the STEM network, and ensures high-quality STEM
4 experiences for pupils.

5 (b) Coordinate the implementation of a marketing campaign,
6 including, but not limited to, a website that includes dashboards
7 of outcomes, to build STEM awareness and communicate STEM needs and
8 opportunities to pupils, parents, educators, and the business
9 community.

10 (c) Work with the department of education and the MiSTEM
11 council to coordinate, award, and monitor MiSTEM state and federal
12 grants to the MiSTEM network regions and conduct reviews of grant
13 recipients, including, but not limited to, pupil experience and
14 feedback.

15 (d) Report to the governor, the legislature, and the MiSTEM
16 council annually on the activities and performance of the MiSTEM
17 network regions.

18 (e) Coordinate recurring discussions and work with regional
19 staff to ensure that a network or loop of feedback and best
20 practices are shared, including funding, programming, professional
21 learning opportunities, discussion of MiSTEM strategic vision, and
22 regional objectives.

23 (f) Coordinate major grant application efforts with the MiSTEM
24 council to assist regional staff with grant applications on a local
25 level. The MiSTEM council shall leverage private and nonprofit
26 relationships to coordinate and align private funds in addition to
27 funds appropriated under this section.

28 (g) Train state and regional staff in the STEMworks rating
29 system, in collaboration with the MiSTEM council and the Michigan



1 department of education.

2 (h) Hire MiSTEM network region staff in collaboration with the
3 network region fiscal agent.

4 Sec. 708. (1) From the funds appropriated in part 1 for
5 workforce development, the department shall provide a report on the
6 status of workforce development not later than March 15 to the
7 standard report recipients. The report must include the following:

8 (a) The amount of funding allocated to each Michigan works
9 agency and the total funding allocated to the workforce training
10 programs statewide by fund source.

11 (b) The number of participants enrolled in education or
12 training programs by each Michigan works agency.

13 (c) The average duration of training for training program
14 participants by each Michigan works agency.

15 (d) The number of participants enrolled in remedial education
16 programs and the number of participants enrolled in literacy
17 programs.

18 (e) The number of participants enrolled in programs at 2-year
19 institutions.

20 (f) The number of participants enrolled in programs at 4-year
21 institutions.

22 (g) The number of participants enrolled in proprietary schools
23 and technical training programs.

24 (h) The number of participants who completed an education or
25 training program.

26 (i) The number of participants who completed a training
27 program and secured employment in a field related to their
28 training.

29 (j) The average wage earned by participants who completed a



1 training program and secured employment within 1 year.

2 (k) The actual revenues received by the fund source and fund
3 appropriated for each discrete workforce development program area.

4 (l) The average cost of training per individual served, with an
5 average provided for participants at 2-year institutions,
6 participants at 4-year institutions, participants at proprietary
7 schools, and participants at technical training programs.

8 (m) The number of applicants to an apprenticeship program, the
9 number of participants in an apprenticeship program, and the number
10 of participants who completed an apprenticeship program.

11 (2) Data collection for the report must be for the previous
12 state fiscal year.

13 Sec. 710. (1) The funds appropriated in part 1 for 23+ high
14 school diploma program must be awarded for a grant program to
15 assist Michigan residents 23 years of age or older in obtaining
16 high school diplomas and placement in career training programs.

17 (2) For purposes of this section, an eligible program provider
18 may be a public, nonprofit, or private accredited diploma-granting
19 institution, but must have not less than 2 years of experience
20 providing dropout recovery services in this state.

21 (3) The department shall issue a request for qualifications
22 for eligible program providers to participate in the program. To be
23 considered a qualified program provider, the institution must offer
24 all of the following:

25 (a) Dropout reengagement services.

26 (b) Academic intake assessments.

27 (c) An integrated learning plan.

28 (d) A course catalog that includes all graduation
29 requirements.



1 (e) Remediation coursework.

2 (f) Academic resilience assessment and intervention.

3 (g) Employability skills development, which includes WorkKeys
4 preparation.

5 (h) Industry recognized credentials.

6 (i) Credit for on-the-job training.

7 (j) A robust support framework, including technology, social
8 support, and academic support.

9 (4) The department shall announce qualified program providers
10 not later than January 1 of the current fiscal year. Qualified
11 program providers must start providing programming by February 1 of
12 the current fiscal year. The department may prioritize funding for
13 previously qualified program providers based on the highest number
14 of students previously served, highest number of graduates, and
15 previous ability to offer statewide access.

16 (5) The department shall reimburse qualified program providers
17 for each month of satisfactory monthly progress as described in
18 section 23a of the state school aid act of 1979, 1979 PA 94, MCL
19 388.1623a, at a rate of \$500.00 per month. A payment shall be made
20 to a qualified program provider for the completion of the following
21 by an eligible participant:

22 (a) \$500.00 for the completion of an employability skills
23 program equal to at least 1 unit of high school credit obtained
24 through classroom or online instruction.

25 (b) \$250.00 for the attainment of an industry-recognized
26 credential requiring up to 50 hours of training.

27 (c) \$500.00 for the attainment of an industry-recognized
28 credential requiring 50 to 100 hours of training.

29 (d) \$750.00 for the attainment of an industry-recognized



1 credential requiring more than 100 hours of training.

2 (e) \$1,000.00 for the attainment of a high school diploma
3 awarded for satisfying Michigan merit curriculum requirements or an
4 approved personal curriculum, as defined by the Michigan department
5 of education.

6 (f) \$2,500.00 for placement in a job in an in-demand career
7 pathway.

8 (6) The department shall develop policies and guidelines to
9 implement this section.

10 Sec. 711. The funds for at-risk youth grants in part 1 must be
11 provided to a Michigan-based nonprofit organization with
12 demonstrated experience delivering statewide youth career
13 development programming. The organization must operate a career
14 development-focused, multi-tiered system of supports, align
15 programming with the Michigan career development model, and provide
16 services to both in-school and out-of-school youth across multiple
17 regions of this state. The organization must maintain established
18 partnerships with local education agencies and workforce
19 development boards and possess the organizational capacity to
20 distribute funds statewide. In conjunction with the department, the
21 organization shall utilize a formula-based methodology to allocate
22 funds across all 10 prosperity regions based on regional program
23 performance, capacity, and the concentration of youth facing
24 barriers to employment or postsecondary success.

25 Sec. 712. (1) The funds appropriated in part 1 for the high
26 school equivalency-to-school program must be used to purchase and
27 distribute vouchers that cover the cost of high school equivalency
28 testing and certification under this section. The department shall
29 administer a Michigan high school equivalency-to-school program



1 that covers the cost of taking a high school equivalency test free
2 of charge for individuals who meet all of the following
3 requirements:

4 (a) The individual has not previously been administered a high
5 school equivalency test free of charge under this section.

6 (b) The individual meets at least 1 of the following
7 requirements:

8 (i) Prior to taking the high school equivalency test, the
9 individual successfully completed a department-approved high school
10 equivalency preparation program.

11 (ii) Prior to taking the high school equivalency test, the
12 individual completed the official high school equivalency practice
13 test and the individual's score indicated that the individual is
14 likely to pass.

15 (2) A department-approved high school equivalency preparation
16 program must include all of the following:

17 (a) Instructional and tutorial assistances.

18 (b) High school equivalency test practice.

19 (c) Required attendance at program instructional sessions.

20 (d) A curriculum that prepares students for opportunities in
21 postsecondary education and the job market.

22 (e) Information on potential postsecondary and career
23 pathways.

24 (f) Counseling on preparing for and applying to college.

25 (g) Personal and job readiness skills development.

26 (h) Comprehensive information on college costs and financial
27 aid.

28 (i) College and career assessments.

29 (j) Computer-based instruction, practice, or remediation.



1 (3) The department shall post online an announcement of the
2 Michigan high school equivalency-to-school program, minimum
3 standards for high school equivalency preparation program approval,
4 and approval procedures.

5 (4) The department shall do all of the following:

6 (a) Develop procedures consistent with this section under
7 which individuals can take the high school equivalency test without
8 charge.

9 (b) Provide program information for educators and students on
10 the department website, including explanations of the procedures
11 developed under subparagraph (a), and contact information for
12 questions about the program.

13 (c) Provide an estimate of the full-year cost of the program
14 to the standard report recipients.

15 (5) Not later than September 30, the department shall report
16 on utilization of the high school equivalency incentive program to
17 the standard report recipients, including numbers of high school
18 equivalency certifications issued by location, year-to-date
19 expenditures, and numbers of participants qualifying under
20 subsection (1)(b)(i) or (ii), or both.

21 Sec. 713. (1) The department shall provide reporting regarding
22 the interagency agreement with the department of health and human
23 services, which concerns TANF funding to provide job readiness and
24 welfare-to-work programming. The reporting must include specific
25 outcome and performance reporting requirements, as described in
26 this section. TANF funding provided to the department in the
27 current fiscal year is contingent on compliance with the data and
28 reporting requirements described in this section. The department
29 shall provide all of the following items for the previous year not



1 later than January 1 of the current fiscal year:

2 (a) An itemized spending report on TANF funding, including all
3 of the following:

4 (i) Direct services to clients.

5 (ii) Administrative expenditures.

6 (b) The number of family independence program clients served
7 through the TANF funding, including all of the following:

8 (i) The number and percentage who obtained employment through
9 Michigan Works!.

10 (ii) The number and percentage who fulfilled their TANF work
11 requirement through other job readiness programming.

12 (iii) Average TANF spending per client.

13 (iv) The number and percentage of clients who were referred to
14 Michigan Works! but did not receive a job or job readiness
15 placement and the reasons why.

16 (2) Not later than March 15 of the current fiscal year, the
17 department shall provide to the senate and house appropriations
18 subcommittees on health and human services and the standard report
19 recipients an annual report on the following matters itemized by
20 Michigan works agency:

21 (a) The number of referrals to Michigan works job readiness
22 programs.

23 (b) The number of referrals to Michigan works job readiness
24 programs who became a participant in the Michigan works job
25 readiness programs.

26 (c) The number of participants who obtained employment.

27 (d) The cost per participant case.

28 (3) As used in this section, "TANF" means temporary assistance
29 for needy families as described in 42 USC 601 to 619.



1 Sec. 714. (1) The office of rural prosperity shall encourage
2 and enable appropriate community advancements and improvements,
3 including, but not limited to, all of the following:

4 (a) Housing.

5 (b) Infrastructure.

6 (c) Education.

7 (d) Workforce development.

8 (e) Other activities that address needs uniquely present in
9 rural areas of this state and assist in expansion of rural
10 development.

11 (2) Not later than March 15, the office of rural prosperity
12 shall submit a report to the standard report recipients that
13 outlines the office's activities, programs, and accomplishments in
14 the previous fiscal year. To the extent possible, the report must
15 also include information regarding the amount of subsequent grant
16 funding that entities are able to secure after receiving assistance
17 from the office of rural prosperity or an office of rural
18 prosperity grant.

19 Sec. 715. (1) From the funds appropriated in part 1 for
20 community and worker economic transition office, the department may
21 hire employees and deploy capabilities to evaluate and address the
22 impacts of economic transitions on workers, communities, and
23 employers in sectors that include, but are not limited to, the
24 auto, utility, manufacturing, and building trades sectors.
25 Activities of the office may include developing transition
26 mitigation strategies, conducting data analysis, coordinating
27 across state and federal agencies, engaging stakeholders, and
28 providing resource navigation support. No later than March 15, the
29 department shall also submit an annual report on office activities



1 and progress made on the transition plan to the standard report
2 recipients and to the legislature, as required under section 7(5)
3 of the community and worker economic transition act, 2023 PA 232,
4 MCL 408.917.

5 (2) In the annual report submitted under subsection (1), the
6 department shall include information on the mission statement,
7 goals, metrics, and recommendations of the community and worker
8 economic transition office. The report must also include a list of
9 impacts on workers, communities, and employers in each economic
10 sector experiencing economic transition in addition to the auto,
11 utility, manufacturing, and building trades sectors.

12 (3) From the funds appropriated in part 1 for community and
13 worker economic transition office, \$250,000.00 must be used to
14 recruit and assist veterans to transition into apprenticeship
15 programs in this state for quality career opportunities in the
16 construction industry. These activities may be contracted to a
17 national nonprofit program that connects National Guard, reserve,
18 retired, and transitioning active-duty military service members
19 with skilled training and quality career opportunities in the
20 construction industry.

21 Sec. 717. The department's office of rural prosperity shall
22 collaborate with the department of agriculture and rural
23 development on the rural development fund grant program as part of
24 this state's coordinated strategy for achieving rural prosperity
25 across this state.

26 Sec. 719. From the funds appropriated in part 1 for workforce
27 development, \$1,000,000.00 must be allocated toward reentry
28 employment services grants that provide funding to nonprofit
29 organizations that operate a program that satisfies all of the



1 following conditions:

2 (a) The program provides services to parolees and probationers
3 assessed by the department of corrections as moderate or high risk
4 to recidivate.

5 (b) The program provides job readiness training, transitional
6 employment, job coaching and placement, and postplacement retention
7 services. As part of the transitional employment program phase, the
8 nonprofit program must provide low-skill, crew-based services to
9 other state agencies.

10 (c) The program has been independently and rigorously
11 evaluated and shown to reduce recidivism.

12 (d) The program demonstrates an ability to serve multiple
13 jurisdictions across this state.

14 Sec. 720. (1) From the funds appropriated in part 1 for
15 workforce development, the department must maintain an online form
16 that allows individuals interested in receiving information on
17 registered apprenticeships to share their interest with the
18 department. The department must share the information of those who
19 enter their information in that form with any entity who receives
20 funding under part 1 for registered apprenticeships, if the
21 registered apprenticeship recipient offers programs within 50 miles
22 of their geographic area. An entity that receives funding under
23 part 1 and receives information from interested parties must
24 attempt to contact the interested party with information on their
25 registered apprenticeship program not more than 10 business days
26 after receiving information from the department.

27 (2) From the funds appropriated in part 1 for workforce
28 development, the department shall prioritize funding to registered
29 apprenticeship programs that produce the highest job placement and



starting wage rates after the individual completes the registered apprenticeship program.

UNEMPLOYMENT

Sec. 801. The unemployment insurance agency shall provide a report updated at least quarterly that includes, but is not limited to, fiscal year-to-date expenditures by division and program unit. The unemployment insurance agency shall transmit each quarterly report no later than 60 days after the end of each quarter.

Sec. 802. (1) From the funds appropriated in part 1, the department, on behalf of the unemployment insurance agency, shall provide a quarterly report to the standard report recipients not later than 60 days after the end of each quarter that includes, but is not limited to, the following:

(a) The average number of unique claimants for the quarter.

(b) The average number of eligible claimants with certification for the quarter.

(c) The average number of claims paid for the quarter.

(d) The total amount of standard unemployment insurance payments paid for the quarter.

(e) The total amount of unemployment insurance tax generated for the quarter.

(f) The balance of the Michigan unemployment trust fund at the end of the quarter.

(2) The department shall include the same information required in subsection (1) for the previous 12 months. The department shall include the most recent quarterly report on the department's webpage.

Sec. 803. From the funds appropriated in part 1, the



1 department shall provide a quarterly report not later than 60 days
2 after the end of each quarter that includes, but is not limited to,
3 the following:

4 (a) The number of new fraudulent and noncompliant cases that
5 have been identified or issued by the unemployment insurance
6 agency, classified by employer or claimant, during the quarter.

7 (b) The total amount of penalties and interest issued on
8 fraudulent and noncompliant cases during the quarter.

9 (c) The total amount of penalties and interest dollars
10 received during the quarter by employer or claimant.

11 (d) The total amount of collectible penalties and interest
12 still owed to this state by employer or claimant.

13 (e) The number of fraudulent and noncompliant cases that have
14 been appealed by an employer or claimant during the quarter.

15 Sec. 804. (1) The funds appropriated in part 1 for
16 unemployment insurance agency must be used to staff unemployment
17 insurance agency branch offices for in-person appointments for
18 unemployment insurance agency claimant services.

19 (2) The department shall provide a biannual report to the
20 standard report recipients not later than March 15 and September 30
21 that includes all of the following:

22 (a) The number and location of in-person offices.

23 (b) The average number of staff at each location over the
24 previous 6 months.

25 (c) The volume of in-person claimants served at each location
26 in the previous 6 months.

27 (d) For the previous 6 months, the average number of staff at
28 each location where the unemployment insurance agency offers in-
29 person appointments, the average number of staff assigned to



1 offering virtual appointments, and the average number of staff
2 assigned to offering telephone appointments.

3 (e) For the previous 6 months, the volume of in-person
4 claimants served at each location, the volume of claimants served
5 through virtual appointments, and the volume of claimants served
6 through telephone appointments.

7 Sec. 805. (1) Funds appropriated in part 1 for the
8 unemployment insurance agency may be used by the unemployment
9 insurance agency to increase capacity by an estimated 250 limited-
10 term employees only if the unemployment insurance agency provides
11 full-time, in-person services at existing unemployment insurance
12 local offices.

13 (2) In addition to the 250 limited-term employees described in
14 subsection (1), the unemployment insurance agency may increase
15 capacity by up to 250 additional limited-term employees if all of
16 the following occur:

17 (a) The unemployment insurance agency provides full-time, in-
18 person services at existing unemployment insurance local offices.

19 (b) The number of claims received by the unemployment
20 insurance agency increased by 20% or more in a month.

21 (c) The unemployment insurance agency determines there is a
22 need for additional limited-term employees.

23 Sec. 806. (1) From the funds appropriated in part 1 for the
24 unemployment insurance agency, the department shall maintain
25 customer service standards for employers and claimants making use
26 of the various means by which they can access the system.

27 (2) The department shall identify specific outcomes and
28 performance metrics for this initiative, including, but not limited
29 to, the following:



- 1 (a) Unemployment benefit fund balance.
- 2 (b) Process improvement - fiscal integrity.
- 3 (c) Process improvement - determination timeliness.
- 4 (d) Process improvement - determination quality.

5 Sec. 807. Funds earned or authorized by the USDOL in addition
 6 to the appropriation in part 1 for the unemployment insurance
 7 agency are appropriated and may be expended for staffing and
 8 related expenses incurred in the operation of its programs. These
 9 funds may be spent after the department notifies the standard
 10 report recipients of the purpose and amount of each grant award.

11 **REHABILITATION SERVICES**

12 Sec. 901. The Michigan rehabilitation services and bureau of
 13 services for blind persons shall work collaboratively with service
 14 organizations and government entities to identify allowable match
 15 dollars to secure available federal vocational rehabilitation
 16 funds.

17 Sec. 902. From the funds appropriated in part 1, the
 18 department shall provide an annual report on efforts taken to
 19 improve the Michigan rehabilitation services not later than March
 20 15 to the standard report recipients. The report must include all
 21 of the following items:

- 22 (a) Changes in administrative costs and staffing.
- 23 (b) Number of individuals with disabilities served each fiscal
 24 year and number of students with disabilities served each fiscal
 25 year.
- 26 (c) Number of services provided in each allowable vocational
 27 rehabilitation service category.
- 28 (d) Plans to integrate Michigan rehabilitative services
- 29



1 programs into other services provided by the department.

2 (e) Quarterly expenditures by major spending category.

3 (f) Employment and job retention rates from both Michigan
4 rehabilitation services and its nonprofit partners.

5 (g) Success rate of each district in achieving the program
6 goals by geographic region, determined in a manner determined by
7 the department.

8 (h) An explanation of each program goal that is set for
9 Michigan rehabilitation services.

10 Sec. 903. (1) From the funds appropriated in part 1 for
11 Michigan rehabilitation services, the department shall allocate
12 funding along with available federal match to support the provision
13 of vocational rehabilitation services to eligible agricultural
14 workers with disabilities. Authorized services shall assist
15 agricultural workers with disabilities in acquiring or maintaining
16 quality employment and independence.

17 (2) Not later than March 15, the department shall report to
18 the standard report recipients on the total number of clients
19 served and the total amount of federal matching funds obtained
20 throughout the duration of the program.

21 Sec. 904. If the department is at risk of entering into an
22 order of selection for services, the department shall notify the
23 standard report recipients within 2 weeks of receiving
24 notification.

25 Sec. 905. (1) Funds appropriated in part 1 for independent
26 living must be used to support the general operations of centers
27 for independent living in delivering mandated independent living
28 services in compliance with federal rules and regulations,
29 including 2 CFR 200, for the centers, by existing centers for



1 independent living to serve underserved areas, and for projects to
2 build the capacity of centers for independent living to deliver
3 independent living services. Applications for the funds must be
4 reviewed in accordance with criteria and procedures established by
5 the department. Funds must be used in a manner consistent with the
6 state plan for independent living. Services provided should assist
7 people with disabilities to move toward self-sufficiency,
8 including, but not limited to, support for accessing transportation
9 and health care, obtaining employment, community living, nursing
10 home transition, information and referral services, education,
11 youth transition services, veterans, and stigma reduction
12 activities and community education. This includes the independent
13 living guide services that specifically focus on economic self-
14 sufficiency.

15 (2) Not later than March 15 and in partnership with service
16 providers, the department shall provide a report to the standard
17 report recipients on direct customer and system outcomes and
18 performance measures.

19 Sec. 906. Federal workforce innovation and opportunity
20 vocational rehabilitation funds from prior years that are received
21 in amounts in addition to those included in part 1 and that have
22 already met state matching requirements are appropriated for the
23 purposes intended. The department may carry forward into the
24 succeeding fiscal year unexpended federal workforce innovation and
25 opportunity vocational rehabilitation funds that do not require
26 additional state matching funds.

27 Sec. 907. (1) The appropriation in part 1 for bureau of
28 services for blind persons includes funds for case services. These
29 funds may be used for tuition payments for blind clients.



1 (2) Revenue collected by the bureau of services for blind
2 persons and from private and local sources that is unexpended at
3 the end of the fiscal year must carry forward to the subsequent
4 fiscal year.

5 Sec. 908. The bureau of services for blind persons may provide
6 and enter into agreements to provide general services, training,
7 meetings, information, special equipment, software, facility use,
8 and technical consulting services to other principal executive
9 departments, state agencies, local units of government, the
10 judicial branch of government, other organizations, and patrons of
11 department facilities. The department may charge fees for these
12 services that are reasonably related to the cost of providing the
13 services. In addition to the funds appropriated in part 1, funds
14 collected by the department for these services are appropriated for
15 all expenses necessary. The funds appropriated under this section
16 are allotted for expenditure when they are received by the
17 department of treasury.

18 Sec. 909. (1) The funds appropriated in part 1 for a regional
19 or subregional library must not be released until a budget for that
20 regional or subregional library has been approved by the department
21 for expenditures for library services directly serving the blind
22 and persons with disabilities.

23 (2) To receive subregional state aid appropriated in part 1, a
24 regional or subregional library's fiscal agency must agree to
25 maintain local funding support at the same level in the current
26 fiscal year as in the fiscal agency's preceding fiscal year. If a
27 reduction in expenditures equally affects all agencies in a local
28 unit of government that includes the regional or subregional
29 library's fiscal agency, the reduction must not be interpreted as a



1 reduction in local support and must not disqualify a regional or
2 subregional library from receiving state aid under part 1. If a
3 reduction in income affects a library cooperative or district
4 library that includes a regional or subregional library's fiscal
5 agency or a reduction in expenditures for the regional or
6 subregional library's fiscal agency, a reduction in expenditures
7 for the regional or subregional library must not be interpreted as
8 a reduction in local support and must not disqualify a regional or
9 subregional library from receiving state aid under part 1.

10 11 **COMMISSIONS**

12 Sec. 951. From the funds appropriated in part 1, the office of
13 global Michigan is to coordinate with any affiliated commissions
14 established in statute or by executive order to produce a report by
15 January 31. The report must be submitted to the standard report
16 recipients and must include, but is not limited to, all of the
17 following:

18 (a) A description of the activities that the commissions
19 initiated to promote cooperation between the commissions to promote
20 the commissions' purpose.

21 (b) A list of all grant recipients.

22 (c) The amount each grant recipient received.

23 (d) Any grants awarded that relate to the mission statement
24 and the goals of those grants.

25 Sec. 953. The office of global Michigan must submit a report
26 to the standard report recipients not later than January 31. The
27 report must include all of the following information:

28 (a) A list of major programs and activities.

29 (b) The number of refugee arrivals, the job placement rate of



1 those refugees actively receiving services under global Michigan
2 grants, and the average wages and initial job placements for those
3 refugees.

4 (c) A list and description of the activities that the office
5 has conducted to attract and retain international, advanced degree,
6 and entrepreneurial talent.

7 (d) A list of goals for the office and the metrics used to
8 determine whether each goal is achieved.

9 (e) A list of all grant recipients.

10 (f) The amount each grant recipient received.

11 (g) Any grants awarded that relate to the mission statement
12 and the goals of those grants.

13
14 **ONE-TIME APPROPRIATIONS**

15 Sec. 1000. (1) From the funds appropriated in part 1 for
16 business attraction, community revitalization, and entrepreneurial
17 ecosystem, not less than 25% must be used to award grants to small
18 business support hubs and community incubators with the goal of
19 increasing local economic development and community development.
20 Grants may be used for the establishment, expansion, or operation
21 of small business support hubs or community incubators that promote
22 innovation and entrepreneurship, foster local growth, increase
23 access to economic resources, or provide mentorship, training,
24 integrated supports, technical assistance, or networking
25 opportunities. Grantees must be selected with preference to hubs
26 located in geographically diverse areas that promote innovation and
27 entrepreneurship in this state. Of the total amount allocated in
28 this subsection, 15% must be awarded to hubs that connect global
29 markets to Michigan entrepreneurs or small businesses.



(2) From the funds appropriated in part 1 for business attraction, community revitalization, and entrepreneurial ecosystem, not less than 5% must be used for community development financial institutions fund grants in accordance with section 1001.

(3) From the funds appropriated in part 1 for business attraction, community revitalization, and entrepreneurial ecosystem, not less than 40% must be used for business attraction and community revitalization. Funds allocated under this subsection may be used to support programs and administration as outlined in the Michigan strategic fund act, 1984 PA 270, MCL 125.2001 to 125.2094. Priority must be given to low-income communities, low-employment communities, or communities with higher needs.

(4) From the funds appropriated in part 1 for business attraction, community revitalization, and entrepreneurial ecosystem, not less than 30% must be used to provide support for small businesses and may include the following activities:

- (a) Small business support hubs and community incubators.
- (b) Business development grants or loans to small businesses.
- (c) Support to community development financial institutions.
- (d) The public spaces, community places program.
- (e) Grants and loans to small business service providers.
- (f) Grants or other funding for technical assistance for small businesses.
- (g) Matching funds for federal grants and programming that benefit small businesses.

Sec. 1001. (1) The funds appropriated in part 1 for business attraction, community revitalization, and entrepreneurial ecosystem and distributed to community development financial institutions fund grants are transferred to the Michigan community development



1 financial institutions fund created under this section. The
2 Michigan community development financial institutions fund is
3 created in the state treasury. All funds in the Michigan community
4 development financial institutions fund, including funds
5 unallocated from prior years, are appropriated for grants to
6 eligible community development financial institutions under this
7 section and related expenditures permitted under this section. The
8 legislature finds and declares that the appropriation described in
9 this section is for a public purpose, including promoting community
10 economic revitalization and community development through community
11 development financial institutions.

12 (2) The Michigan strategic fund shall develop a grant
13 application consistent with this section that is published and
14 available on its publicly accessible website. The plan must include
15 prioritization of community development financial institutions that
16 are majority owned by, or serving a majority of, underserved or
17 underrepresented populations.

18 (3) The application required under subsection (2) must include
19 all of the following:

20 (a) The name of the community development financial
21 institution applying for a grant from the CDFI fund.

22 (b) The location of the principal office of the applicant.

23 (c) Documentation indicating whether the applicant is a
24 Michigan CDFI or a multistate CDFI.

25 (d) An indication of whether the applicant is or is not a
26 depository institution.

27 (e) The amount of the grant sought, not exceeding the maximum
28 eligible amount of the grant under subsections (4) to (6).

29 (f) If the community development financial institution is a



1 depository institution, the net assets of the depository
2 institution.

3 (g) If the community development financial institution is not
4 a depository institution, the amount of qualifying commitments made
5 by the community development financial institution during the 3
6 applicant fiscal years preceding the fiscal year in which the
7 application is submitted.

8 (h) A description of the amount an applicant is eligible to
9 apply for under subsections (4) to (6).

10 (i) A description of the proposed use of the grant award by
11 the applicant for eligible activities consistent with the
12 requirements of this section, the community development banking and
13 financial institutions act of 1994, and any other requirements
14 applicable under federal law.

15 (j) Documentation of the applicant's certification as a
16 community development financial institution that meets the
17 eligibility requirements under 12 CFR 1805.201 by the federal fund.
18 The documentation required by this subdivision may include the list
19 of community development financial institutions in good standing
20 maintained and published by the federal fund.

21 (k) A statement that the applicant is in compliance with all
22 requirements applicable to the applicant under the community
23 development banking and financial institutions act of 1994.

24 (4) Except as provided in subsection (9), a community
25 development financial institution that is a depository institution
26 is eligible for 1 or more grant awards in the following amount for
27 each grant:

28 (a) Up to \$1,000,000.00 if the depository institution has
29 total net assets of less than \$500,000,000.00.



1 (b) Up to \$1,500,000.00 if the depository institution has
2 total net assets of \$500,000,000.00 to \$999,999,999.99.

3 (c) Up to \$2,000,000.00 if the depository institution has
4 total net assets of \$1,000,000,000.00 to \$1,999,999,999.99.

5 (d) Up to \$2,500,000.00 if the depository institution has
6 total net assets of \$2,000,000,000.00 or more.

7 (5) Except as otherwise provided in subsections (6) and (9), a
8 community development financial institution that is not a
9 depository institution is eligible for 1 or more grant awards in
10 the following amount for each grant:

11 (a) Up to \$500,000.00 if the community development financial
12 institution made qualifying commitments in an amount that averaged
13 less than \$1,000,000.00 per applicant fiscal year during the 3
14 fiscal years preceding the fiscal year in which an application for
15 a grant is submitted.

16 (b) Up to \$1,500,000.00 if the community development financial
17 institution made qualifying commitments in an amount that averaged
18 from \$1,000,000.00 to \$3,999,999.99 per applicant fiscal year
19 during the 3 fiscal years preceding the fiscal year in which an
20 application for a grant is submitted.

21 (c) Up to \$2,500,000.00 if the community development financial
22 institution made qualifying commitments in an amount that averaged
23 from \$4,000,000.00 to \$5,999,999.99 per applicant fiscal year
24 during the 3 fiscal years preceding the fiscal year in which an
25 application for a grant is submitted.

26 (d) Up to \$3,500,000.00 if the community development financial
27 institution made qualifying commitments in an amount that averaged
28 from \$6,000,000.00 to \$9,999,999.99 per applicant fiscal year
29 during the 3 fiscal years preceding the fiscal year in which an



1 application for a grant is submitted.

2 (e) Up to \$4,000,000.00 if the community development financial
3 institution made qualifying commitments in an amount that averaged
4 at least \$10,000,000.00 per applicant fiscal year during the 3
5 fiscal years preceding the fiscal year in which an application for
6 a grant is submitted.

7 (6) A single grant awarded to a multistate CDFI that is not a
8 depository institution under subsection (5) must not exceed
9 \$2,500,000.00.

10 (7) The Michigan strategic fund shall accept initial
11 applications for a grant under this section until November 30,
12 2026, and applications for a second round of grants under this
13 section by June 1, 2027. The MSF also may accept applications for
14 additional rounds of grants after June 1, 2027. The Michigan
15 strategic fund shall approve or deny a grant application within 49
16 days after the receipt of an administratively complete application
17 as determined by the Michigan strategic fund. If the application
18 complies with the requirements of this section, the Michigan
19 strategic fund shall approve the award of the grant in the amount
20 requested by the applicant. The Michigan strategic fund may deny a
21 grant application submitted under this section only for the
22 following reasons:

23 (a) The applicant does not satisfy all of the requirements
24 under this section.

25 (b) Subject to subsection (9), there is insufficient money in
26 the CDFI fund to pay the grant amount requested.

27 (c) The applicant is not in compliance with applicable
28 requirements under the community development banking and financial
29 institutions act of 1994.



1 (8) If the Michigan strategic fund denies an application under
2 subsection (7), the applicant may provide additional information to
3 the Michigan strategic fund within 7 days after the notice of
4 denial. The Michigan strategic fund shall review and reconsider the
5 application and additional information within 28 days after the
6 applicant provides additional information.

7 (9) If there is an insufficient amount of money in the CDFI
8 fund to pay the grants approved for a round of grant applications,
9 the amount of each grant for that round shall be reduced
10 proportionately by the Michigan strategic fund based upon the
11 amount of money available in the CDFI fund. If the amount of money
12 available to pay grants approved for a round of grant applications
13 exceeds the amount needed to pay the grant awards, the Michigan
14 strategic fund may increase each grant awarded in that round in an
15 amount proportionate to the total of all grant awards for that
16 round or make the excess money available in a subsequent round of
17 grant applications and awards.

18 (10) On approval of an application, the Michigan strategic
19 fund and the applicant shall sign a written grant agreement
20 providing the terms of the grant agreement. A grant agreement must
21 include all of the following:

22 (a) A requirement that at least 80% of the grant award be used
23 for financial products and financial services or expenditures of
24 money or commitments to expend money to reduce the interest rate
25 otherwise applicable under a loan agreement or funding agreement.

26 (b) A restriction that no more than 10% of the grant award be
27 used for technical assistance activities described in 12 CFR
28 1805.303.

29 (c) A restriction that no more than 10% of the grant award be



1 used for administration and operations.

2 (d) A requirement that a grant award be committed under a loan
3 agreement or funding agreement or disbursed by the recipient within
4 3 years after the date that the recipient receives the grant award.

5 (e) A requirement that the entire amount of the grant award be
6 expended within this state.

7 (f) A requirement that the grant award recipient comply with
8 all requirements applicable under the community development banking
9 and financial institutions act of 1994 while the agreement is in
10 effect.

11 (g) Provisions authorizing the Michigan strategic fund to
12 enforce the terms of the grant agreement, including a requirement
13 that a noncompliant recipient of a grant award may be required to
14 repay the portion of the award not committed by the recipient
15 pursuant to a permitted loan, program, or agreement. Money repaid
16 under this subdivision must be deposited in the CDFI fund.

17 (h) A requirement for the grant award recipient to report on
18 activities consistent with the requirements of subsection (14).

19 (i) If the grant agreement includes a grant of federal money,
20 the grant agreement must require the recipient to comply with any
21 requirements applicable to the use of the federal money.

22 (11) A grant agreement may provide for the community
23 development financial institution that is the recipient of a grant
24 award to serve as an intermediary lender to another community
25 development financial institution consistent with the purposes of
26 this section if not prohibited by federal law applicable to the
27 expenditure of any federal grant money.

28 (12) If not prohibited by federal law applicable to the
29 expenditure of any federal grant money, a grant agreement must



1 permit a grant award recipient to assign the award to an affiliate
2 and for the affiliate to assume the obligations of the grant award
3 recipient if the affiliate satisfies all of the following:

4 (a) Is a community development financial institution.

5 (b) Is organized in the same manner as the grant award
6 recipient.

7 (c) Is controlled by the grant award recipient in 1 or both of
8 the following ways:

9 (i) The grant award recipient owns a majority of the stock of
10 the affiliate.

11 (ii) A majority of the members of the board of the affiliate
12 also are members of the board of the grant award recipient.

13 (13) Except as otherwise provided in subsection (14), the
14 Michigan strategic fund shall require the recipient of a grant
15 award under this section to report annually to the Michigan
16 strategic fund regarding its activities under this section
17 beginning on the May 1 following the applicant fiscal year in which
18 the grant award was received by the recipient. The Michigan
19 strategic fund shall publish on its website a standard form for the
20 report. Except as otherwise provided in subsection (14), the report
21 must include all of the following information:

22 (a) A copy of the recipient's most recent confirmation of
23 recertification as a community development financial institution
24 issued by the community development financial institutions fund
25 under 12 CFR 1805.201, which may include the list of community
26 development financial institutions in good standing maintained and
27 published by the federal fund.

28 (b) A list of financial products and services provided during
29 the prior applicant fiscal year that includes all of the following:



- 1 (i) The name of each transaction.
- 2 (ii) A transition tracking number for each transaction.
- 3 (iii) The date of each transaction.
- 4 (iv) The amount of each transaction.
- 5 (v) The total project cost for each transaction if other
6 funding was involved.
- 7 (vi) The physical address of the borrower or customer for each
8 transaction.
- 9 (vii) The census tract of the borrower or customer for each
10 transaction.
- 11 (viii) An indication of whether the census tract in which the
12 transaction is located is an eligible investment area.
- 13 (ix) A description of the projected economic impact of the
14 transaction.
- 15 (x) A description of any financial products or financial
16 services provided.
- 17 (c) A description of technical assistance provided during the
18 prior applicant fiscal year.
- 19 (d) A summary of expenditures for administration and
20 operations provided during the prior applicant fiscal year that
21 includes all of the following:
 - 22 (i) A description of administration and operations costs
23 incurred.
 - 24 (ii) Professional fees and expenses incurred.
 - 25 (iii) A summary of any other eligible expenses for
26 administration and operation.
- 27 (14) A grant award recipient is not required to provide a
28 report under this section for any applicant fiscal year in which it



1 did not loan or otherwise commit or disburse grant award money. The
2 Michigan strategic fund shall not include information in the report
3 required under subsection (13) if information that otherwise would
4 be included in a report under subsection (13) is either of the
5 following:

6 (a) Exempt from disclosure or confidential as proprietary
7 business or financial information under the community development
8 banking and financial institutions act of 1994.

9 (b) Exempt from disclosure under the freedom of information
10 act, 1976 PA 442, MCL 15.231 to 15.246.

11 (15) Except as otherwise provided in subsection (3), the
12 Michigan strategic fund may expend up to 4% of the appropriation
13 provided from the CDFI fund for the costs it incurs in
14 administering the programs and activities in this section.

15 (16) Unexpended funds appropriated for community development
16 financial institutions fund grants are designated as a work project
17 appropriation. Unencumbered or unallotted funds must not lapse at
18 the end of the fiscal year and must be available for grant awards
19 or other expenditures until the project has been completed. The
20 following is in compliance with section 451a of the management and
21 budget act, 1984 PA 431, MCL 18.1451a:

22 (a) The purpose of the project is to provide grants to
23 eligible community development financial institutions under this
24 section.

25 (b) All grants will be distributed in accordance with this
26 section and the grant guidelines as part of the application process
27 and grant agreements between the Michigan strategic fund and grant
28 recipients.

29 (c) The total estimated cost of the project is \$10,000,000.00.



1 (d) The tentative completion date for the work project is
2 September 30, 2028.

3 (17) As used in this section:

4 (a) "CDFI fund" means the Michigan community development
5 financial institutions fund created in subsection (1).

6 (b) "Community development banking and financial institutions
7 act of 1994" means subtitle A of the Riegle community development
8 and regulatory improvement act of 1994, 12 USC 4701 to 4719.

9 (c) "Community development financial institution" means that
10 term as defined in section 103 of the community development banking
11 and financial institutions act of 1994, 12 USC 4702, but is limited
12 to a community development financial institution that satisfies all
13 of the following:

14 (i) Is an entity that meets the eligibility requirements
15 described in 12 CFR 1805.200.

16 (ii) Is certified as a community development financial
17 institution that meets the eligibility requirements under 12 CFR
18 1805.201, by the federal fund.

19 (iii) Maintains 1 or more physical offices within this state.

20 (iv) Employs 2 or more individuals at a physical office within
21 this state, including employees of an affiliate of the community
22 development financial institution that provides services to the
23 community development financial institution.

24 (v) Is a Michigan CDFI or a multistate CDFI.

25 (d) "Depository institution" means any of the following:

26 (i) A bank as that term is defined in section 3(a) of the
27 federal deposit insurance act, 12 USC 1813.

28 (ii) A savings association as that term is defined in section
29 3(b) of the federal deposit insurance act, 12 USC 1813.



1 (iii) A credit union as that term is defined in section 102 of
2 the credit union act, 2003 PA 215, MCL 490.102.

3 (iv) A depository institution holding company as that term is
4 defined in 12 CFR 1805.104.

5 (e) "Eligible activities" means activities described in 12 CFR
6 1805.301, and includes credit enhancements, loan loss reserves,
7 equity investments, expenditures of money or commitments to expend
8 money to reduce the interest rate otherwise applicable under a loan
9 agreement or funding agreement, and grants related to these
10 activities.

11 (f) "Federal fund" means the community development financial
12 institutions fund established under section 104 of the community
13 development banking and financial institutions act of 1994, 12 USC
14 4703, and moved within the United States Department of Treasury by
15 the emergency supplemental appropriations for additional disaster
16 assistance, for anti-terrorism initiatives, for assistance in the
17 recovery from the tragedy that occurred at Oklahoma City, and
18 rescissions act, 1995, Public Law 104-19, and by Public Law 104-
19 134.

20 (g) "Financial products" means that term as defined in 12 CFR
21 1805.104.

22 (h) "Financial services" means that term as defined in 12 CFR
23 1805.104.

24 (i) "Michigan CDFI" means a community development financial
25 institution that satisfies all of the following:

26 (i) Is certified as a community development financial
27 institution that meets the eligibility requirements under 12 CFR
28 1805.201, by the federal fund.

29 (ii) Is headquartered at an address in this state, as



1 recognized by the federal fund.

2 (iii) Has a target market that includes this state, as
3 recognized by the federal fund.

4 (iv) Serves 1 or more targeted populations located within this
5 state.

6 (j) "Multistate CDFI" means a community development financial
7 institution that is not a Michigan CDFI but is a community
8 development financial institution that committed under a loan
9 agreement or other funding agreement at least \$10,000,000.00 in
10 financial products and financial services to a target market within
11 this state under the community development banking and financial
12 institutions act of 1994 during the 5 applicant fiscal years
13 preceding the applicant in the current fiscal year in which an
14 application for a grant is submitted.

15 (k) "Qualifying commitment" means funding committed by a
16 community development financial institution under a loan agreement
17 or other funding agreement in target markets or targeted
18 populations in this state that is either of the following:

19 (i) Financial products or financial services committed under
20 the community development banking and financial institutions act of
21 1994.

22 (ii) An additional credit enhancement, loan loss reserve, or
23 equity investment committed by the community development financial
24 institution or an affiliate of the community development financial
25 institution.

26 (l) "Target market" means that term as defined in 12 CFR
27 1805.104.

28 (m) "Targeted population" means that term as defined in 12 CFR
29 1805.104.



1 Sec. 1002. (1) From the funds appropriated in part 1 for
2 museums support, \$500,000.00 must directly be awarded to support
3 the Arab American National Museum.

4 (2) From the funds appropriated in part 1 for museums support,
5 \$500,000.00 must directly be awarded to the Charles H. Wright
6 Museum of African American History.

7 (3) From the funds appropriated in part 1 for museums support,
8 \$500,000.00 must directly be awarded to support the Zekelman
9 Holocaust Center.

10 Sec. 1003. The department shall operate a grant program to
11 provide money to public broadcast stations. To apply for a grant, a
12 public broadcast station must submit an application the department,
13 on a form and in a manner as prescribed by the director.
14 Eligibility must be determined using the following requirements:

15 (a) The public broadcast station provides programming that
16 serves educational, cultural, civic, or informational needs of
17 communities in this state.

18 (b) The public broadcast station demonstrates a commitment to
19 broad public access, noncommercial operation, editorial
20 independence, and a mission aligned with public interest
21 broadcasting.

22 (c) The public broadcast station's proposed use of the grant
23 money is reasonably related to sustaining or expanding services
24 that meet public media needs, including, but not limited to,
25 programming, staffing, technical infrastructure, or advertising and
26 outreach.

27 Sec. 1004. (1) Funds appropriated in part 1 for special events
28 and national convention attraction must be used by the Michigan
29 strategic fund to promote this state as a destination for special



1 events, including, but not limited to, national conventions,
2 national conferences, major sporting events, or other significant
3 events that would feature Michigan to a national audience.

4 (2) The Michigan strategic fund must develop program
5 guidelines for the use of these funds. Funds may be used to help
6 attract eligible special events and to support costs associated
7 with hosting eligible events. Eligible events must have a regular
8 attendance of more than 500 people and meet other eligibility
9 criteria as determined by the Michigan strategic fund.

10 (3) Unexpended funds appropriated in part 1 for special events
11 and national convention attraction are designated as a work project
12 appropriation, and any unencumbered or unallotted funds shall not
13 lapse at the end of the fiscal year and shall be available for
14 expenditure for projects under this section until the projects have
15 been completed. The following is in compliance with section 451a of
16 the management and budget act, 1984 PA 431, MCL 18.1451a:

17 (a) The purpose of the project is to promote this state as a
18 destination for special events and support costs related to hosting
19 eligible events.

20 (b) The project will be accomplished by utilizing state
21 employees or contracts with service providers, or both.

22 (c) The total estimated cost of the project is \$6,000,000.00.

23 (d) The tentative completion date is September 30, 2031.

24 Sec. 1005. (1) The funds appropriated in part 1 for talent
25 partnership must be used to administer a grant program to support
26 implementation of transformational community development
27 initiatives.

28 (2) Talent partnership grant funding must be used to implement
29 transformational public space development projects in central city



1 neighborhoods or concentrated districts and leverage
2 interdepartmental and cross-sector coordination through local
3 talent plans that are designed to increase this state's population
4 of young talent by creating high-density, high-amenity, walkable,
5 vibrant-street-life neighborhoods or districts and to create
6 business ownership opportunities for local residents. Qualified
7 plan proposals must include all of the following:

8 (a) The transition of roadway usage from cars to alternative
9 transportation spaces, including, but not limited to, walking,
10 biking, and transit.

11 (b) Commercial corridor activation, including innovations to
12 fill vacant retail space with locally owned businesses.

13 (c) Mixed-use development that contributes to dense, walkable
14 areas.

15 (d) A plan to do all of the following:

16 (i) Support greater density.

17 (ii) Increase access to affordable or middle-income housing.

18 (iii) Improve direct access to multimodal transportation.

19 (iv) Improve quality of life through increased parks, green
20 spaces, outdoor recreation, and arts and cultural amenities.

21 (3) The legislature finds and declares that the appropriation
22 described in this section is for a public purpose and serves the
23 health, safety, and general welfare of the residents of this state.

24 (4) The department may do any of the following to implement
25 the grant program:

26 (a) Develop guidelines to accept and review local talent plans
27 from eligible applicants and award funding for approved local
28 talent plans to increase this state's population of young talent by
29 creating high-density, high-amenity, walkable, vibrant-street-life



1 neighborhoods or districts and to create business ownership
2 opportunities for local residents.

3 (b) Consult with local stakeholders, provide education and
4 consultation to the public during the application process, and
5 regularly monitor implementation progress of approved local talent
6 plans.

7 (c) Review existing best practices for similar programs and
8 consult with third-party experts, including academic and research
9 institutions based in this state.

10 (d) Lead a multiagency coordination effort to leverage all
11 available resources that will maximize the effectiveness of the
12 initiative. As necessary, the department may establish memoranda of
13 understanding with other state agencies or establish a committee of
14 state agency representatives to support the initiative.

15 (5) The department shall allocate funding for the grant
16 program through the development and submission of local talent
17 plans from eligible applicants that use a blend of layered,
18 multifaceted activities described in subsection (7) to meet the
19 goals of this section.

20 (6) Eligible applicants for a grant must be a consortium of
21 entities that may include local governments, local economic
22 development organizations, the nonprofit community, and the
23 business community. Consortium applicants must appoint a lead
24 applicant, which may be 1 of the consortium's entities or a
25 nonprofit organization, to serve as fiduciary and project manager
26 for the consortium. An eligible applicant may partner with other
27 government agencies, consortiums, authorities, and community
28 anchors or nonprofit entities to submit a local talent plan to the
29 department and implement an approved local talent plan.



1 Notwithstanding local talent plan revisions or subsequent funding
2 rounds, an eligible applicant shall not submit more than 1 local
3 talent plan. Only grant applicants that provide a minimum of 50%
4 local or private match funds may be considered for a grant under
5 this section.

6 (7) Approved local talent plans must include at least 1 of the
7 following eligible activities to meet the objectives of the grant
8 program:

9 (a) Planning, engineering, permitting review, and other local
10 assessments to support implementation of a local talent plan.

11 (b) Demonstrated community engagement, stakeholder support, or
12 commitment to the local talent plan. As applicable, stakeholders
13 may include, but are not limited to, any of the following:

14 (i) Neighborhood associations.

15 (ii) City councils, planning committees, or other local
16 government agencies, including public safety agencies.

17 (iii) Economic development organizations or local businesses or
18 business organizations.

19 (iv) Local anchor institutions.

20 (v) Local nonprofits, foundations, or community organizations.

21 (vi) Regional planning organizations or consortiums.

22 (vii) Public transit organizations.

23 (viii) Faith-based organizations.

24 (ix) Tribal governments.

25 (c) Plans for the redevelopment of existing housing stock.

26 (d) Plans to improve utilization of mixed-use and commercial
27 property, including, but not limited to, the conversion of
28 commercial space for affordable housing.

29 (e) Road repairs and other surface improvements that will



1 increase walkability, access to green space, dedicated nonmotorized
2 transportation, and access to rapid transit or high-speed rail.

3 (f) Supports for small businesses and emerging entrepreneurs,
4 including access to credit and professional development.

5 (g) Plans to enhance parks, green space, community recreation,
6 promotion of local artists or art installations, and outdoor social
7 spaces.

8 (h) Activities to pursue other sources of funding to directly
9 support a local talent plan, including other governmental funds or
10 private resources.

11 (8) In addition to the eligible activities under subsection
12 (7), approved local talent plans must include all of the following:

13 (a) A defined area, such as a neighborhood, district, or
14 corridor, in which a local talent plan will be implemented. Unless
15 identified as a supporting part of an approved talent plan, funds
16 allocated to approved plans must be used only within the plan's
17 defined area.

18 (b) A description of how local talent plan activities directly
19 support the objectives under subsection (2).

20 (c) A description of how funds appropriated under part 1 for
21 talent partnership will be used and any other funds or resources
22 that will be provided to ensure a plan meets all the objectives
23 under subsection (2).

24 (d) Identification of stakeholders that were engaged in the
25 development and are committed to the implementation of a local
26 talent plan.

27 (e) In addition to any state or federal resources,
28 identification of local or private match funds or resources that
29 will be committed.



1 (f) A proposed implementation timeline and demonstration of a
2 local talent plan's sustainability after any state or federal funds
3 are exhausted.

4 (g) Identifiable goals and measurable outcomes to be used to
5 monitor progress.

6 (9) To leverage existing programs and resources to support
7 talent concentration, the department may establish a state agency
8 workgroup to support the implementation of this section, including
9 from agencies that oversee any programs related to housing, home
10 repairs, blight elimination, business supports, community
11 development, transportation or mobility, arts, and outdoor
12 recreation.

13 (10) The department may retain up to 3% of funds under this
14 section for implementation costs. In addition, the department may
15 retain up to an additional 2% of funds under this section to
16 reimburse other state agencies' activities that are in support of a
17 talent partnership project. The department may contract with at
18 least 1 consultant that is a nonprofit research organization or
19 public education institution based in this state with experience in
20 at least placemaking research to support this section.

21 (11) The department shall post online the guidelines for local
22 talent plans and identify available research or resources that may
23 be used to support the development of a local talent plan.

24 (12) In evaluating each application, subject to subsection
25 (13), the department shall use objective criteria, including, but
26 not limited to, the comprehensive nature of the local talent plan,
27 the local support identified, long-term sustainability, and the
28 likelihood to achieve the goals of the talent partnership program.
29 The department must consider, but is not limited to, all of the



1 following when selecting grant recipients:

2 (a) The extent to which a proposed local talent plan will
3 support the creation and ongoing success of locally owned
4 businesses.

5 (b) The extent to which a proposed local talent plan will
6 create dense, walkable, vibrant spaces.

7 (c) The extent to which zoning and code restrictions have
8 been, or will need to be, modified to support high-density
9 residential development.

10 (d) The extent to which the proposed local talent plan
11 supports facilities and walkways that house or present cultural
12 arts programs, performances, and exhibitions.

13 (e) The extent to which the proposed local talent plan
14 provides mixed-income housing.

15 (f) The likelihood of successful implementation of a proposed
16 plan and its sustainability.

17 (13) The department shall award funds consistent with the
18 following:

19 (a) Grants must be awarded in a geographically diverse manner.

20 (b) Subject to the department's approval, the grant program
21 permits grant awards to continue implementation of existing talent
22 plans.

23 (14) The department shall publish approved local talent plans
24 and funding allocations under this section on the department's
25 website. The department may approve subsequent rounds of funding
26 for local talent plans if either additional funds become available
27 or there are remaining funds from the appropriation under part 1
28 for talent partnerships. Remaining funds must be awarded in
29 accordance with this section and, as necessary, prorated based on



1 availability of funds.

2 (15) The department shall ensure grant agreements with
3 applicants include regular progress reports and clawback provisions
4 to verify that all expenditures are made in accordance with an
5 approved local talent plan. Applicants receiving funds under this
6 section shall respond to all reasonable information requests from
7 the department related to the funds received under this section.

8 (16) The department shall provide an annual report by
9 September 30 to the standard report recipients on the
10 implementation of this program, including, but not limited to, all
11 of the following:

12 (a) The utilization of funds allocated under this section,
13 including the amount and status of any funds allocated for approved
14 local talent plans and the amount retained by the department or
15 state agencies to support implementation of this section.

16 (b) As applicable, identification of activities undertaken by
17 agency workgroup participants to communicate the implementation of
18 local talent plans to each of their respective agencies and
19 identification of any existing programs or resources that may be
20 used to support the implementation of a local talent plan.

21 (17) The unexpended portion of grants under this section is
22 designated as a work project appropriation in accordance with
23 section 451a of the management and budget act, 1984 PA 431, MCL
24 18.1451a. Unencumbered or unallotted funds must not lapse at the
25 end of the fiscal year and must be available for grant awards or
26 other expenditures under this section until the project has been
27 completed. The following is in compliance with section 451a of the
28 management and budget act, 1984 PA 431, MCL 18.1451a:

29 (a) The purpose of the project is to support transformational



1 placemaking investments and leverage intergovernmental coordination
2 to increase this state's population of young talent by creating
3 high-density, high-amenity, walkable, and vibrant-street-life
4 neighborhoods or districts and to create business ownership
5 opportunities for local residents.

6 (b) All grants must be distributed in accordance with this
7 section and the grant guidelines as part of the application process
8 and grant agreements between the department and grant recipients.

9 (c) The estimated cost of the work project is \$5,000,000.00.

10 (d) The tentative completion date for the work project is
11 September 30, 2030.